Ford Motor Company Limited

Annual Report and Financial Statements

For the Year Ended 31 December 2023

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Ford Motor Company Limited
Annual Report and Financial Statements
for the year ended 31 December 2023

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STRATEGIC REPORT

Strategic Report for the year ended 31 December 2023

The directors present their Strategic Report for the year ended 31 December 2023 for Ford Motor Company Limited ("the Company").

The Company is a private company limited by shares, incorporated and domiciled in the United Kingdom.

Principal activities

The principal activities in which the Company is currently engaged are the manufacture of low emission diesel engines; and the distribution and sale of motor vehicles and automotive components and associated customer after sales support.

Review of the UK business

The Company maintained its leadership of UK market total vehicle sales in 2023, including its 58th consecutive year of commercial vehicle (CV) sales leadership (per Society of Motor Manufacturers and Traders (SMMT)). Highlights from the year included:

- Ford #1 total vehicle sales in the UK for 2023
- Ford #1 in CV ((light commercial vehicle (LCV) & medium commercial vehicle (MCV) combined)) with 30.5% market share
- Transit Custom is the #1 best-selling CV in the UK
- Ford #2 in passenger vehicle (PV) sales with 7.5% share, and #1 in PV retail sales with 8.7% share
- Puma is the overall #1 best-selling vehicle in the UK for 2023 with more than 49,590 units sold (up from 4th overall in 2022)
- Ranger was best-selling pick-up truck in UK for 2023, with a 45.6% share in the segment

Ford has a proud history in the UK and the brand continues to show potential to grow and prosper. Ford's commitment to its European and UK customers is to invest and grow its leading commercial vehicle business and to provide passenger vehicle customers with a more defined portfolio of sports utility vehicles and crossovers and iconic imported models with after-sales support supplied by a strong dealer network.

The Company's partnership with Ford Credit is another area that continues to help build customer loyalty. As the first automotive finance company to offer flexible Personal Contract Purchase (PCP) products in the UK, our Options personal contract plan has been chosen by over two million retail customers since its introduction in 1992. Most of our customers currently select our two to three-year contracts at prudent interest rates that help maintain residual values and ensure that equity is retained in their vehicles that can be carried through to their next purchase.

Ford is committed to the UK and continues to be a major employer with significant operations in the country employing more than 6,500 directly. The Ford Britain Dunton Campus in Essex is home to Ford Pro, Ford's European market-leading commercial vehicle business which is set to play an even more significant role in the future; the headquarters of both the Ford of Britain national sales company and Ford Credit Europe (FCE), Ford's banking arm, and a centre for powertrain engineering.

STRATEGIC REPORT *(continued)*

Review of the UK business *(continued)*

Ford continues to produce diesel engines at the Dagenham Engine Plant in east London and transmissions are manufactured at the Halewood transmissions plant on Merseyside which returned to sole Ford ownership at the start of March 2021 after 20 years of being part of the Getrag Ford Transmissions joint venture. Since 2021, Ford has announced a £380m investment to transform Halewood to build electric power units for future Ford all-electric passenger and commercial vehicles in Europe, securing jobs and increasing annual production eventually to 420,000 units per year. Ford also operates a parts distribution centre in Daventry, and its Transport Operations ship vehicles and components across the UK.

Ford's £24 million E:PRiME centre (part of the £380m investment), at Ford's Dunton product development HQ, is building prototypes of the electric power unit and training Halewood employees in its machining and assembly, assisted by the Advanced Propulsion Centre. The power unit, comprising e-drive motor and gearbox, replaces the engine and transmission of a conventional engine vehicle by propelling an electric vehicle (EV) using battery energy.

For a detailed analysis of the company's financial performance and position as at year end, these can be found in the primary financial statements and accompanying notes in the back half of the annual report.

Key EU and UK activities in 2023:

Ford Pro

1. Ford announced research into the potential for hydrogen as an on-board energy source for E-Transit. Part funded by the Advanced Propulsion Centre (APC), Ford's consortium of six automotive technology leader and fleet operator partners will help to determine the supporting hydrogen refuelling infrastructure required. A low-volume test fleet of eight fuel cell Ford E-Transits will run for six-month periods over the three-year project from 2023 to 2025.

2. The all-new Transit Custom MS-RT and Ranger MS-RT were offered through Ford Pro dealers from the end of 2023 with the new models undergoing final assembly and finishing at a dedicated new facility located on the Ford Dagenham Estate; the state-of-the-art facility includes a design and engineering studio, semi-automated paint facility and dual assembly lines, with a dedicated customer service team on-site.

3. Ford Pro earned double honours, claiming the International Van of the Year (IVOTY) award and the International Pick-up Award (IPUA) for its all-new Transit Custom van and all-new Ranger pickup.

Passenger Vehicles

1. Ford became the first automaker to introduce "hands-off, eyes-on" advanced driver assistance technology approved for pre-mapped motorways in Great Britain; Level 2 hands-free advanced driver assistance system 1, 2 with regulatory approval for use on the motorway network in Great Britain – the first system of its kind approved in Europe. The UK's Department for Transport approval means drivers of enabled Mustang Mach-E models can use "hands-off, eyes-on" driving technology on 2,300 miles (3,700 km) of pre-mapped motorways in England, Scotland and Wales, 4 designated as Blue Zones.

2. Ford revealed the new electric Explorer – the first in a wave of innovative new electric vehicles from Ford and forges the way for a complete reinvention of the Ford brand in Europe. The mid-size crossover – to be built in Cologne – has seats for five across two rows and is fully equipped to set families on the road to adventure capable of a range of more than 600km and 10-80% charging times of 26 minutes.

STRATEGIC REPORT *(continued)*

Key EU and UK activities in 2023: *(continued)*

Business/Corporate

1. Ford Europe announced restructuring of its business in Europe, creating a leaner, more competitive cost structure, including the elimination of 3,800 jobs over the three years between 2023 and 2025. 1,300 of those positions were announced for the UK business.
2. Lisa Brankin succeeded Tim Slatter as Chair, Ford UK overseeing all facilities and investment, and continuing to run the Ford of Britain & Ireland sales and service company as Managing Director.
3. Ford announced its return to Formula 1; Red Bull Powertrains and Ford in partnership on the development of the next-gen hybrid power unit that will supply engines to both Oracle Red Bull Racing and Scuderia AlphaTauri teams from 2026 to at least 2030 - Ford will provide expertise in areas including battery cell and electric motor technology as well as power unit control software and analytics.
4. Ford UK announced 3 year title partnership with London Marathon Events on the RideLondon event, the world's greatest festival of cycling, for the next three years (2023 – 2025)
5. Ford announced partnership with Octopus Energy in Great Britain and Tibber in Germany, the Netherlands and Norway to support new Ford EV charging initiative - UK partnership will enable Ford customers to charge their EVs using energy tariffs specifically designed to enhance the ownership experience.

Principal risks and uncertainties

Excluding financial risk management (see Directors' Report) the management of the business and the execution of the Company's strategy are subject to a number of other risks. The Company's business is substantially dependent upon the sale of its vehicles in the UK and continental Europe. Sales of vehicles could decline if the Company is unable to respond to economic pressures, or a weakening of the industry. In addition, suppliers in economic distress could constrain the availability of components and materials and therefore adversely affect the production and sale of vehicles. Management has responded to these risks by ensuring that regular reviews are made of the Company's position in the market, and that processes exist to develop good communications with suppliers.

Statement by the Directors in performance of their statutory duties in accordance with section 172 (1) of the Companies Act 2006

This section 172(1) statement, which is required under section 414A of the Companies Act 2006, describes how the Board of Directors (hereafter referred to as the Board) have had regard to the matters set out in section 172(1)(a) to (f).

The section 172(1) statement requires the Company to demonstrate how the Directors act in ways they consider, in good faith, would be most likely to promote the success of the Company for the benefit of its stakeholders as a whole. This means that as well as promoting the success of the Company for the benefit of its members, the Directors must have regard, amongst other matters, to the likely consequences of any decisions in the long-term on the interests of Company employees, the need to foster Company business relationships with suppliers, customers and other stakeholders, the impact of the Company's operations on the community and the environment, the desirability of the Company maintaining a reputation for high standards of business conduct, the need to act fairly as between members of the Company and how the Company complies with the requirements of section 172 of the Companies Act 2006.

STRATEGIC REPORT *(continued)*

Corporate Strategy and Purpose

The Company is ultimately owned by Ford Motor Company and regularly engages with its parent company to ensure that the Company plans are fully aligned with the group.

During the reporting period, Section 172 duties as well as other directors' duties and corporate obligations have been at the core of the Board deliberations, decision making, proactive stakeholder engagements and when implementing and complying with the corporate governance arrangements.The Board considered how the Company needs to adapt to realise cost efficiencies with an innovative workforce to support Ford's electric vehicle strategy and in so doing remaining competitive in comparison to its peers; the continuing focus on the impact of climate change on the Company's activities; the need to deliver a best-in-class experience for its existing and new commercial and retail customers; the economic and other market factors that are likely to impact the business performance; the interests of its employees, its suppliers and its customers; and the discharge of the company's legislative obligations.

Stakeholder Engagement

The Company recognises the need to engage with key stakeholders to help inform the Board's strategy and decision-making. The following have been identified as the Company's key stakeholders by the Board in the context of discharging their section 172 duties, namely, its shareholder, retail and commercial customers, the Ford dealership network, employees including trade union representatives, pension trustees, suppliers, and the communities FCE operates.

The Board keeps the interests of its stakeholders at the heart of its deliberations and decision-making alongside the need to maintain a reputation for high standards of business conduct. During the reporting period, the Board had oversight for the implementation of key strategic decisions and deliberated matters which impacted various stakeholders including the implementation of the UK business transformation project. The Board carefully considered the consequences of their decisions over the long term and concluded that the actions would be of benefit to the Company and its members. Examples include the payment of dividend to its parent underaking and the investment in one of its subsidiaries. Examples of how the stakeholders' interests have been considered are included below.

Customers and Suppliers

Consistent with its ultimate parent Ford Motor Company, the Company's goal is that the customer comes first and so they are at the fore when products are developed and manufactured. Furthermore, the Board has ensured that the vehicle delivery services on offer are customer-focused by ensuring that new vehcles are delivered in a timely manner thereby creating loyalty and trust

Ford has a Dealer Council, where senior representatives of Ford, including the Company's Managing Director, meet regularly with representatives of the dealer body to discuss a range of matters affecting the dealer network. These include market conditions, proposed sales and marketing initiatives, customer satisfaction, aftersales programmes, and dealer franchising matters. Furthernore, Ford has a Supplier Council, which meets regularly with Ford executives in Purchasing, Product Development and Manufacturing and other functions, as required. These meetings are primarily to discuss different topics impacting the working relationships, and the subsequent process and policy changes that these subject may bring about. Furthermore, the Board via delegation to the Chief Financial Officer also ensures that Ford's payment terms and practices in relation to its suppliers meet or exceed the statutory requirements. The Board also reviewed and approved for publication the statement of the steps the Ford group has taken to ensure that modern slavery and human trafficking are not taking place in the business or in the company's supply chains.

Also, national level meetings, involving senior management and union officials were also held regularly during the year to discuss overall business performance and related matters.

STRATEGIC REPORT *(continued)*

Employees

The Board believes that its employees are vital to the business success because they are directly responsible for implementing the business's vision, purpose and goals. Therefore, it is vital to protect all employees and workers by providing a safe and healthy work environment. The Company's continuing commitment to maintaining a safe workplace has driven communication and engagement with staff throughout the year including discussions and consultation meetings to understand employees' views and concerns around the business transformation. Health and Safety of employees remains a priority consideration within Ford. The Chief Medical Officer based at Dunton continues to manage Ford's site occupational health services in partnership with an external medical specialist provider. Together, they deliver a professional service designed to monitor the health of employees to ensure that they are operating in a healthy working environment with mental health and wellbeing continuing to be provided at all sites. The Company continues to encourage its relevant employees to adapt a healthy balance of hybrid working which fosters team collaboration and efficiency. In addition, the Company continues to offer its employees a range of flexible working options and employee friendly policies including supporting part-time working and job sharing.

During the reporting year, the Board ensured that employees received regular communications and, where applicable, were consulted with either directly or via representatives on the relevant proposals. For example, the Board carefully considered the consequences of their decision in relation to the UK business transformation over the long term and concluded that the proposed actions would be of benefit to the Company and its members. There were also regular meetings held between management and employee representatives at all Ford locations to review operational performance and matters of local importance.

Ford values the diversity of its employees and encourages an inclusive culture so that everyone is free to contribute and develop in a safe working environment that is free from harassment or bullying. Furthermore, Ford continues to ensure that its employees, particularly its senior leaders, model diversity and inclusion and recognises the connection between diversity and inclusion and better decision-making, innovation, and employee engagement. Ford has in place frameworks and policies that are accessible to all employees and workers covering Anti-bribery, Corruption and Whistleblowing. Furthermore, during the reporting period, Ford launched a new policy on menopause which provides detailed information around the definition and symptoms of menopause, examples of workplace adjustments and internal and external sources of support.

Ford ensures that all its employees and workers are adequately trained in relation to their roles and responsibilities and encourages everyone to request any additional training or professional development which may be required. Employees also have 24/7 access to an online learning platform where they can access webinars, courses, tutorials and other high-quality online learning options.

Reputation, Environmental Considerations, and Community

The Board is committed to complying with all applicable regulations and legislations and requires every employee to certify to the Ford Corporate Code of Conduct. A strong compliance culture is encouraged.

Following an on-site survey for a proposed new construction project in Q3 2024, small pieces of cement containing a low percentage of chrysotile (white) asbestos were found in the Daventry parts distribution centre. Certain work activities at the site were paused (Picking and Putaway) for period of time whilst specialist cleaning and analysis took place. Whilst this cleaning is still in progress, we began resuming certain activities at the facility in Q3 2024 when we were satisfied that from a health and safety perspective it was safe to do so.

STRATEGIC REPORT *(continued)*

Reputation, Environmental Considerations, and Community *(continued)*

In response to the existing and planned legislation in relation to disclosures on climate change-related risks, the Board has kept under review the development of the Company's approach to addressing climate-related risks and opportunities. Ford has well established policies for safeguarding and improving the social and environmental impact of its operations. For example, all Ford's manufacturing locations are ISO14001 certified and, as part of a joint initiative agreed with its European Works Council, it operates to agreed social rights and social responsibility principles. Ford encourages its suppliers both to work to achieve ISO14001 certification and to operate their own plants to a standard consistent with our principles. During the reporting year, the Board has brought to the fore the development of an Environment, Social and Governance strategy for the Company and its operations.

Ford continues to encourage engagement with local community initiatives, through employee participation in charitable activities.

Non-financial and sustainability information statement

Transition Plan, Metrics & Targets

This report is based on the UK Companies (Strategic Report) (Climate-related Financial Disclosure) Regulations 2022 fulfilling corporate UK reporting requirements for Ford Motor Company Limited (FMCL or "the Company"). It is in line with Ford Motor Company's global ("Ford") 2024 Integrated Sustainability and Financial Report.

The Transition Plan

Ford's Aspirations

Globally Ford aims to reach carbon neutrality no later than 2050. Ford is on an accelerated pathway in Europe, which includes our UK operations, aiming to achieve carbon neutrality by 2035. This means for the UK:

* We are shifting our entire line-up of passenger and commercial vehicles to 100% zero-emission by 2035. (This is in line with UK Vehicle Emission Trading Scheme (VETS).)
* We are targeting carbon neutral
  - EV and EV component manufacturing facilities
  - Tier 1 suppliers (Scope 1 and 2)
  - Logistics operations that transport parts to EU production sites and vehicles to dealers.

To make progress toward carbon neutrality, including reducing emissions in line with science, Ford is investing in its business now to transform its value chain by reducing Scope 1, 2, and 3 emissions as defined by the Greenhouse Gas Protocol. Currently, Ford's global focus is on three areas that account for approximately 95% of Ford's greenhouse gases (GHG) emissions — vehicles, operations, and supply chain. An overview of some key investments supporting Ford's plan implementation are provided in the table Transition Plan Key Investments. FMCL benefits from these investments, directly or indirectly.

Metrics & Targets Overview

Ford's carbon neutrality related metrics help to ensure that Ford is decarbonizing its business in a timely manner and managing its climate risks and opportunities.

In this section we provide an overview of Ford's global climate-related metrics that also help drive the business in the UK as both FMCL and Ford global are focused primarily on activities related to vehicle manufacturing. Ford has established the following metrics:

Vehicles — Fleet Average

* Voluntary
  - Scope 3 well-to-wheels (WTW) GHG emissions from the use of sold products (grams CO_2e / km, Science Based Target initiative (SBTi))
* Regulatory
  - CO_2 tailpipe emissions (grams per km)

Operations — Voluntary

⭑ Manufacturing and non-manufacturing

- Absolute Scope 1 and 2 (tCO_2e, SBTi)

⭑ Manufacturing only

- Carbon-free electricity (%)

The Scope 1 and 2 operations target, including manufacturing and non-manufacturing sites, is aligned to SBTi's 1.5°C path. Scope 2 emissions are market-based.

The Scope 3 use of sold products (vehicles) target is consistent with a well-below 2°C path; vehicle sector pathways for a 1.5°C target setting have not yet been finalized by the SBTi. The Scope 3 target goes beyond tailpipe emissions and includes vehicle emissions from an energy-cycle (fuel and electricity) perspective (well-to-wheels). This includes energy production and consumption during vehicle use.

These interim GHG SBTi reduction targets do not include the use of offsets.

Transition Plan Key Investments

Investment			Comment
Global Revenues/savings from investments in low carbon alternatives	⭑Energy efficiency projects estimated energy cost savings - Building lighting — $0.48M - Compressed air systems — $0.75M - Steam elimination — $1.2M - Process optimization — $0.48M		Investments made in global manufacturing locations to improve energy and process efficiency while generating savings sufficient to self-fund the capital investments
Global Expenditures (OpEx) for R&D	Year 2020 2021 2022 2023	Expenses (in Billions) $7.1 $7.6 $7.8 $8.9	Engineering, research, and development expenses primarily consist of salaries, materials, and associated costs
Global Investments (CapEx) in our low carbon future	Some of the EV investments we have underway include: ⭑$4.21 billion allocated through two green bonds to fund clean transportation projects, including the manufacture of current and future EV products. ⭑$2 billion to convert Ford's Cologne, Germany operations into a state-of-the-art electric vehicle center, completed in 2023 and scheduled to begin production in 2024 ⭑£380 million in Halewood, U.K. Transmission Facility to build EV components for Europe, scheduled to begin production in 2024.		

Vehicle Use - Scope 3

Target Ford's global SBTi approved intensity target for Scope 3 GHG emissions from the use of sold products is to reduce emissions 50% per vehicle km by 2035 from a 2019 base year.

Decarbonization Levers

Reducing GHG emissions associated with vehicle use, our largest GHG emissions source, is critical. The use-phase CO_2 emissions on a WTW basis depend on vehicle design, the energy source, and how the vehicles are used by our customers. See overview in table A Portfolio Approach to Decarbonizing Vehicles.

Ford is researching and developing technology and services to address reductions in all three areas. This includes collaboration with a range of partners, including fuel and electricity producers, infrastructure developers, and governments, particularly for well-to-tank (WTT) energy production emissions that are beyond our direct control.

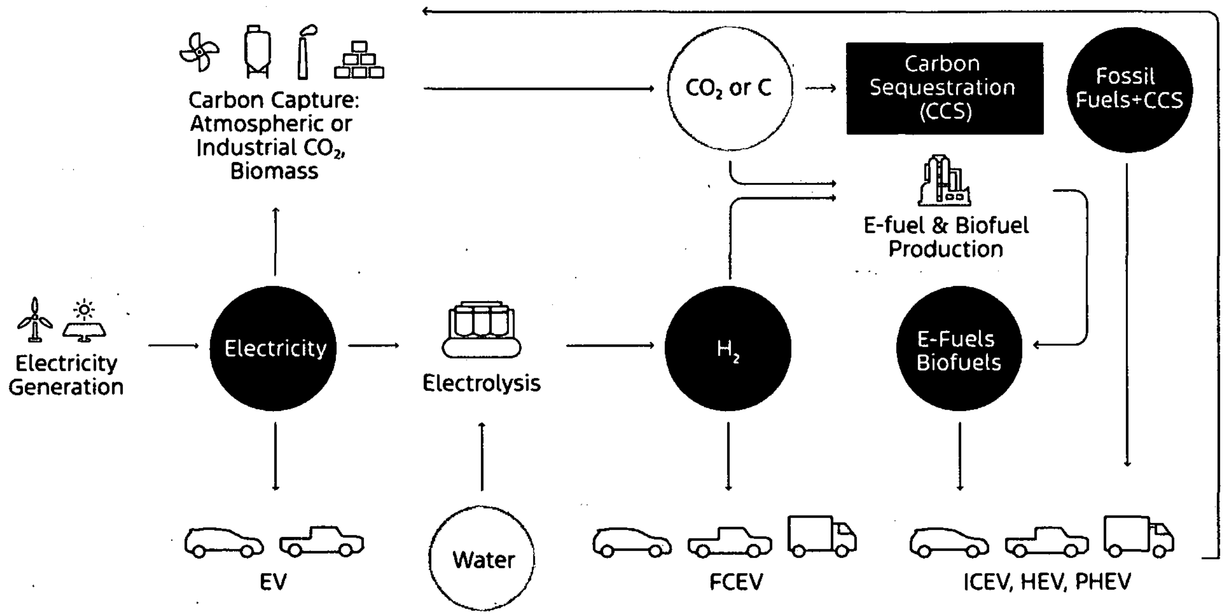
Long-term, we expect that carbon-neutral cars and vans globally will be powered by some combination of electricity, hydrogen, and hydrocarbon fuels from sustainable sources, depending on infrastructure, technology development, policy, and customer acceptance. (See graphic Future Carbon-neutral Transportation Options.) The challenge, however, as highlighted by the scenario analysis, is not only meeting the need for a diverse set of environmentally friendly technology solutions globally, but flexibly developing and offering solutions that are responsive to the changing needs of our consumers.

We will continue to improve fuel economy and reduce greenhouse gas (GHG) emissions across our vehicle portfolio, while rapidly scaling our EV production rate.

A Portfolio Approach to Decarbonizing Vehicles

Vehicle Design	Lower-carbon Energy Options	Support Customers
• Electric vehicles • Fuel cell vehicles • Plug-in hybrid vehicles • Hybrid vehicles • Aerodynamic improvements • Weight reductions	• Electricity • Hydrogen • Biofuels • Carbon-neutral e-fuels • Compressed natural gas (CNG) • Liquefied petroleum gas (LPG)	• Providing options for different vehicles and fuels, and how those vehicles will be maintained • Address key adoption enablers, e.g., affordability and EV charging deployment with renewable energy • Promoting "eco-driving" through training, information, and in-vehicle technology

Future Carbon-neutral Transportation Options

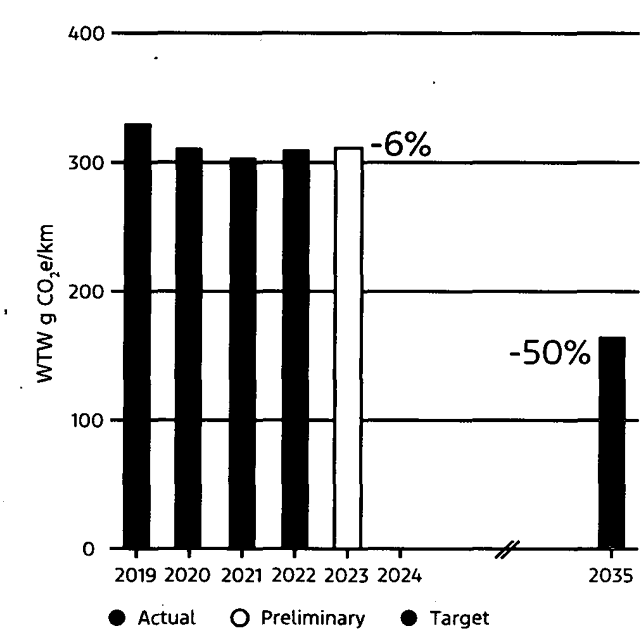


EV: Electric vehicle; **CCS:** carbon capture and storage; **FCEV:** fuel cell electric vehicle; **HEV:** hybrid electric vehicle; **ICEV:** internal combustion engine vehicle; **PHEV:** plug-in hybrid electric vehicle

Performance

Ford globally is on track to achieve its 50% reduction target for Scope 3 vehicle use, as shown in graph SBTi Scope 3 Use of Sold Products Target and Progress. The preliminary estimate for 2023 shows the average GHG intensity of the vehicles sold in 2023 will be about 6% lower than for the vehicles sold in 2019. The preliminary data for 2023 indicate the fleet average CO_2e-intensity is about the same as in 2022. See Performance Data on page 38 for additional details.

SBTi Scope 3 use of Sold Products Target and Progress



Operations — Scope 1 and 2

Target — GHG Reductions

Ford has set a science-based target, approved by SBTi, to reduce Scope 1 and 2 GHG emissions by 76% by 2035 globally, relative to a 2017 baseline.

Target — Carbon-free Electricity

Use 100 % carbon-free electricity in all manufacturing facilities globally by 2035.

Decarbonization Levers

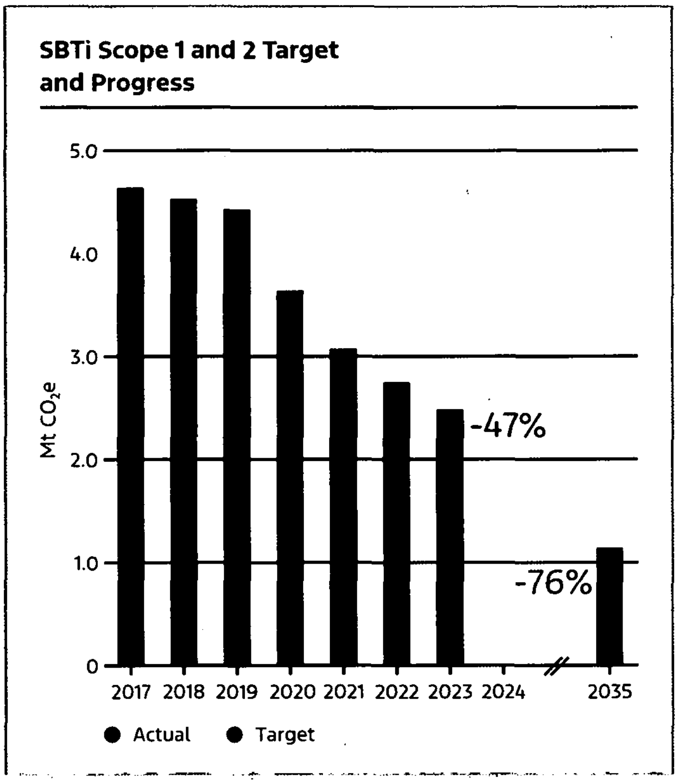
To achieve the operational emissions reduction goals and realize Ford's carbon-neutral future, Ford is using energy more efficiently, reducing GHG emissions and increasing the use of carbon-free energy.

Performance

Ford's decarbonization levers have helped Ford achieve a 47% reduction in Scope 1 and 2 GHG emissions globally across all operations (manufacturing and non-manufacturing). Ford is on track to achieve its 2035 76% reduction target, being almost two-thirds of the way there.

For more details regarding FMCL's Scope 1 and 2 emissions see the section Streamlined Energy and Carbon Reporting on pages 38 to 39.

In the UK, the Company has already achieved the equivalent of 100% carbon-free electricity sourcing for manufacturing facilities. This achievement is more than 10 years ahead of Ford's global goal.



Supply Chain — Scope 3 — Purchased Goods and Services

Targets

Ford has established targets to achieve carbon neutrality for its supply chain (Scope 3 emissions — purchased goods and services)

- ⭑ Europe — across Ford of Europe Tier 1 suppliers, including FMCL suppliers. for Scope 1 and 2 greenhouse gas (GHG) emissions by 2035.
- ⭑ Global — across all suppliers, for all scopes, no later than 2050.

Decarbonization Levers

Ford's supply chain is essential to reducing GHG emissions and achieving its carbon neutrality goals. Ford is focused on increasing supplier engagement across the supply chain, including FMCL suppliers, by leveraging the requirements of its Supplier Code of Conduct and engaging in initiatives such as Manufacture 2030 (M2030) — a climate best practice program that provides support for its suppliers with measurement, management and reduction of carbon emissions, water and waste as Ford strives to reach carbon neutrality globally. M2030 builds on Ford's successful CDP Supply Chain reporting program to better measure progress and help identify areas of concern. These efforts and others also support improving data quality and availability, another focus area.

Ford is also working on decarbonizing key materials through such initiatives as The First Movers Coalition. The coalition is a global initiative to harness purchasing power and supply chains to create early markets for innovative clean energy technologies. More than 90 companies comprise the coalition to help accelerate the adoption of emerging climate technologies. By 2030, these commitments will represent an annual demand of $16 billion for emerging climate technologies and 31 million tonnes (Mt) CO_2e in annual emissions reductions. Ford has pledged to purchase at least 10% low-carbon aluminum and near-zero steel by 2030.[redacted]

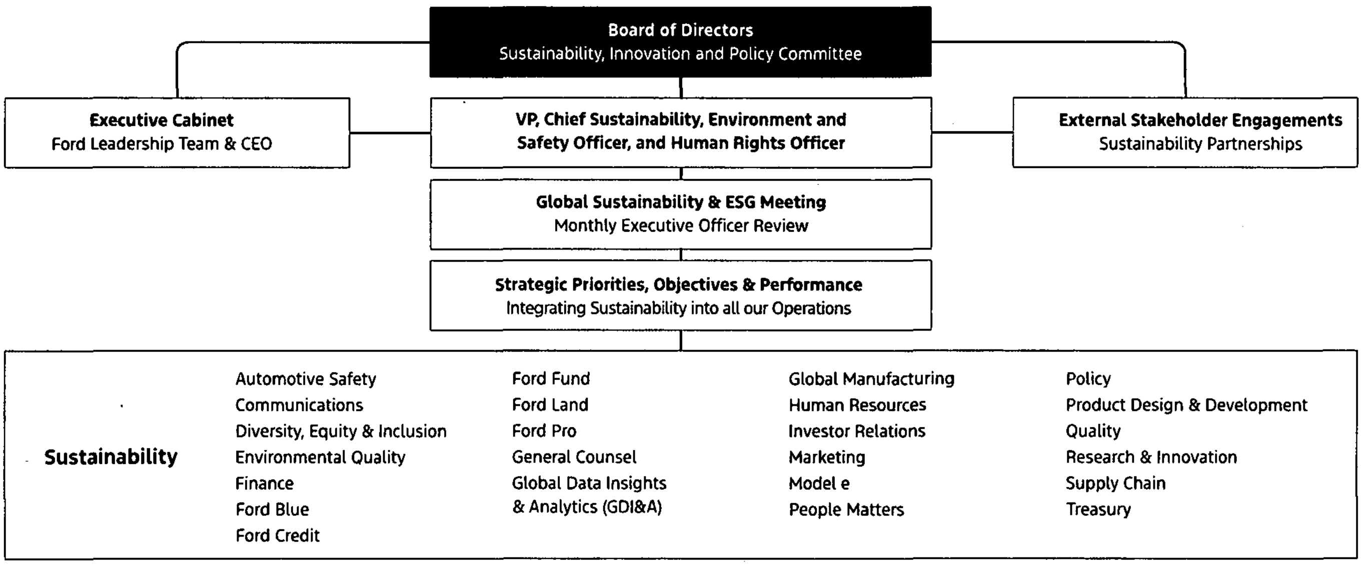
Performance

Globally we have seen significant improvements in supplier engagement in 2023, particularly for CDP and M2030 responses. For example, Ford had a 20% increase in supplier CDP responses over 2022. It is also encouraging to see a number of Ford's large Tier 1 suppliers engaging on the M2030 platform and requiring their suppliers to participate, which is an important step in tackling Tier 2 emissions.

Furthermore, integrating carbon neutrality into Ford's sourcing decisions was a key step in changing how we do business. This, along with our continued engagement with suppliers to understand their commitment, will help ensure future progress.

Helping Ford meet its commitment to the First Movers Coalition and its carbon neutrality aspirations, Ford is taking steps to secure a supply of near-zero emissions steel and low-carbon aluminum for future products. Ford has signed non-binding memorandums of understanding (MoUs) with strategic aluminum and steel suppliers to secure a supply of of near-zero emissions steel and low-carbon aluminum and significantly improve the carbon footprint of our supply chain, of which aluminum and steel production is a key component. In 2023 Ford met with these strategic suppliers to understand the required transformation, including the significant increase in demand for carbon-free electricity and hydrogen.

Sustainability Governance



Governance and Risk Management

Ford responds to climate change across all areas of the business, with its Board of Directors providing governance at the highest level of its company.

Climate Governance

Board Oversight

Ford employs a variety of governance systems and processes to manage different aspects of sustainability across the business, including all wholly owned subsidiaries.

The global Sustainability, Innovation and Policy Committee of the Board of Directors advises management on developing and shaping Ford's strategies, policies, and practices in the areas of climate change, including GHG emissions and energy consumption.

The Committee is also responsible for assessing Ford's progress on strategic economic, product safety, environmental, and social issues, as well as the degree to which sustainability principles have been integrated into various skill teams worldwide. The Committee reviews Ford's Integrated Sustainability and Financial Report summary as well as any Ford initiatives related to sustainability and innovation. It assesses annually the adequacy of the Sustainability, Innovation and Policy Committee Charter, and reports to the Board of Directors about these matters.

Climate related topics are also reported out to the Board of Directors for FMCL. This board also reviews the TCFD content for FMCL's annual report.

The global Audit Committee assists the Board in overseeing compliance and reporting risk, including reviewing risks identified in the Ford Enterprise Risk Management process, which includes climate-related risks.

Management's Role

Ford's global Vice President, Chief Sustainability, Environment and Safety Officer and their team are responsible for delivering its sustainability aspirational goals and strategies, including achieving carbon neutrality no later than 2050 globally and 2035 in Europe, including our UK operations. The leaders of the Global Sustainability & ESG Meeting approve its carbon neutrality strategy and monitor progress on reducing GHGs by tracking metrics for its vehicles, supply chain and operations.

Our UK Director, Environmental & Safety Compliance is among the leaders of this meeting ensuring that the UK perspective is well reflected. In this function the director and their team also lead the European Carbon Neutrality Team and report out to the Board of Directors of Ford Motor Company UK on a regular basis.

Risk Management and Internal Controls

The oversight responsibility of the global Board and its committees is supported by Ford's management and the risk management processes, covering our operations in the UK. Ford has extensive and effective risk management processes, relating specifically to compliance, reporting, operating, and strategic risks. These include:

- Compliance Risk encompasses matters such as legal and regulatory compliance (for example, Foreign Corrupt Practices Act, environmental, Occupational Safety and Health Administration/safety, etc.).
- Reporting Risk covers Sarbanes-Oxley compliance, disclosure controls and procedures, and accounting compliance.
- Operating Risk addresses the myriad of matters related to the operation of a complex company such as Ford (for example, quality, supply chain, sales and service, financing and liquidity, product development and engineering, labor, etc.).
- Strategic Risk encompasses somewhat broader and longer-term matters, including, but not limited to, technology development, environmental (including climate) and social sustainability, capital allocation, management development, retention and compensation, competitive developments, and geopolitical developments.

We believe that key success factors in risk management at Ford include a strong risk analysis tone set by the global Board and senior management, which is shown through their commitment to effective top-down and bottom-up communication (including communication between management and the Board and committees), and active global cross-functional participation among the Business Segments, Skill Teams.

Ford has institutionalized a regular Forecast, Controls and Risk Review and Special Attention Review process where Ford's senior leadership reviews the status of the business, the risks, and opportunities presented to the business (in the areas of compliance, reporting, operating, and strategic risks), and develops specific plans to address those risks and opportunities.

The Enterprise Risk Management process adopted by Ford identifies the top critical enterprise risks through engagement with senior management and the

Management Processes

Board Committees	**Sustainability, Innovation and Policy Committee** ★Meets at least three times a year ★Primary responsibility for assessing the Company's progress on strategic economic, product safety, and environmental and social issues, as well as the degree to which sustainability principles have been integrated into the various skill teams ★Reviews and advises on the Company's pursuit of innovative policies and technologies that promote product safety, improve environmental and social sustainability, and seek to enrich customers' experiences, increase shareholder value, and lead to a better world ★Reviews the Integrated Sustainability and Financial Report Summary as well as any Company initiatives related to sustainability and innovation Read the Charter of the Sustainability, Innovation and Policy Committee **Other Board committees:** Audit; Compensation, Talent and Culture; Nominating and Governance; and Finance
Executive Management	**Vice President, Chief Sustainability, Environment and Safety Officer** ★Primary responsibility for sustainability issues ★Oversees the Sustainability and Vehicle Environmental Matters group, the Environmental Quality Office, the Vehicle Homologation and Compliance group and the Automotive Safety Office ★Leads a multi-disciplinary executive-level team that oversees actions in response to its sustainability strategies and integration and issues related to its We Are Committed to Protecting Human Rights and the Environment policy ★Human Rights Policy Officer **Other executive and group vice presidents** across its functional areas also have responsibility for sustainability-related issues.
Function Areas	**Sustainability and Vehicle Environmental Matters** ★Coordinates Company-wide sustainability strategy and activities ★Leads sustainability reporting and stakeholder engagement ★Collaborates with other functional areas and skill teams to integrate sustainability throughout the Company

Oversight of Risk Management

	Compliance and Reporting	**Operating and Strategic**
Ford Board Oversight	Audit Committee	Sustainability, Innovation and Policy Committee Compensation, Talent and Culture Committee Finance Committee Audit Committee
Ford Management Day to Day	Compliance Reviews Sarbanes-Oxley Compliance Internal Controls Disclosure Committee	Business Segments and Skill Teams Forecast, Controls and Risk Review Special Attention Review Industrial Platform/Software, Product and Services, Strategy, Business Ops Review, and People Forums

global Board of Directors. Once identified, each of the top risks is validated and assigned an executive risk owner who is responsible for overseeing risk assessment, developing mitigation plans, and providing regular updates. The Enterprise Risk Management process also engages Business Segments and Skill Teams to determine which of the enterprise risks are most relevant to their specific objectives and identify any additional risks that can be managed at a lower level in the organization.

All identified Enterprise Critical Risks are evaluated for their exposure to related geopolitical risk and climate change impacts. The global Audit Committee and Board annually review the process to update the list of critical risks and monitor risk movement and emerging trends, and the Enterprise Risk Management team also benchmarks the annual risk assessment with outside sources to ensure Ford's assessment is up to date with external risk developments.

The full global Board of Directors has overall responsibility for the oversight of risk management at Ford and oversees operating risk management with reviews at each of its regular Board meetings. The Board, the Sustainability, Innovation and Policy Committee, the Compensation, Talent and Culture Committee, the Finance Committee, and the Audit Committee all play a role in overseeing operating and strategic risk management. The Sustainability, Innovation and Policy Committee assists the Board of Directors in overseeing environmental and social sustainability risks. The specific responsibilities of each committee are set forth in their charters, which are available on the corporate website.

Materiality and Climate Risks and Opportunities

Ford's Materiality Process

Ford's materiality methodology was refreshed in 2024 to incorporate elements of double materiality. This assessment covers Ford Motor Company and all wholly owned subsidiaries.

Ford leveraged extensive outputs gathered during the 2023 assessment, which engaged internal and external stakeholders (globally and in the UK), including industry associations and non-governmental organizations (NGOs), and internal subject matter experts. Ford sought to achieve a balanced and comprehensive review of topics covering all environmental, social and governance areas likely to be relevant across Ford's value chain.

Ford began the 2024 assessment by reviewing and building upon that list of topics and their definitions. Identified topics were supplemented with additional desk-based research given the fast-changing landscape in which we operate. Key sustainability trends, industry trends, a benchmark of peers, and sustainability standards and frameworks were considered, most notably the European Sustainability Reporting Standards (ESRS) which define the reporting requirements of the CSRD.

Ford also considered the risks and opportunities associated with each topic, the interests and expectations of stakeholders, as well as Ford's organizational purpose, strategies and goals. Not only did this approach ensure comprehensive coverage, but it also enabled us to adjust several existing topics.

To identify the significance of each identified topic, Ford assessed the severity and likelihood of impacts and the magnitude and likelihood of financial risks and opportunities. Results were then shared and discussed with internal subject matter experts and adjusted as needed. This resulted in a topic prioritization list that was also calibrated with subject matter experts.

Ford's Material Topics

Ford identified four topics as highest priorities: climate change (including energy use), human rights, supply chain management, and product safety and quality. These topics are listed in alphabetical order, not in order of importance.

Climate Risk and Opportunities — Identification and Assessment Process

Climate-related risks are divided into two categories:

* Transition risks — those that arise from actions associated with the transition to a low-carbon economy, including the introduction of new climate policies or low-carbon technologies
* Physical risks — those that arise from the acute and chronic physical impacts of climate change

Ford identified and assessed climate related risks and opportunities for its global business, including the UK, based on TCFD guidelines and well-established, state-of-the-art science scenarios.

The range provided by these scenarios identifies likely risks and opportunities, as these definitive scenarios cover a wide gamut of societal action, addressing future uncertainties, whether that is related to policy, macroeconomic, energy systems or technological developments. Three scenarios were used.

The IEA Net Zero Emissions by 2050 Scenario (NZE) helps expose transition risks while the IEA Stated Policies Scenario (STEPS) and the Intergovernmental Panel of Climate Change Representative Concentration Pathway 8.5 (RCP8.5) high emissions and temperature climate scenarios help expose expected physical risks due to climate change. See Scenario/Resilience Analysis for additional details.

The risks and opportunities were examined for the entire value chain along three time-horizons: short-term (<5 years), medium-term (5–10 years) and long-term (>10 years).

Climate-related Risks and Their Business Impact

Major risks for leading markets currently transitioning to electric vehicles cover all three time-horizons. In leading markets, we expect technology, market and workforce risks to lessen in the long term as EV adoption becomes more widespread. At the same time, resource availability and regulatory risks may increase. Other markets will reach the EV inflection point later, extending the time-horizon for technology and market risks.

The table Major Climate-related Risks provides an overview of the major risks identified in the most pertinent categories and is not a complete listing of the examined risks.

Climate-related Opportunities for the Business

At Ford we also see opportunities across the three measured time-horizons for addressing climate-related issues. Similar to the identified risks, we expect the timing of some major opportunities related to EV adoption to occur sooner for leading markets while later in other markets.

The table Major Climate-related Opportunities provides an overview of the major opportunities identified in the most pertinent categories but is not a complete listing of our pursuits.

Major Climate-related Risks

Transition Risks	
Regulation	*Ford is subject to emissions, fuel economy and other regulations that govern product characteristics, and these can differ locally, regionally and nationally. New regulations are continuously being proposed to address environmental concerns, and the* regulatory landscape can change quickly. To comply, we may need to substantially modify product plans and facilities. Additionally, climate-oriented regulations and initiatives may increase the cost of vehicles by more than the perceived consumer benefit, dampening our financial margins.
Technology	If cost-effective and timely hardware and software solutions are not available to meet our CO_2 reduction goals, we are subject to technology risk. As we make further CO_2 reductions, it becomes more challenging to make cost-effective improvements. Technology may not be available to make the improvements at the rate required, and the carbon neutral grid and charging infrastructure may not keep pace with vehicle electrification which could negatively impact sales. New vehicle offerings may also present technological challenges that could be costly to implement and overcome. If we are unable to meet customer demand or quality expectations with our products and technologies, there could be an adverse effect on our business.
Financial	There is a risk that our carbon neutrality plan would need to be accelerated which would require increased investments. Our global Corporate and Supplemental and 364-day revolving credit facilities are tied to sustainability-linked KPIs such as reducing greenhouse gas (GHG) emissions from our manufacturing plants and lowering Ford of Europe's passenger vehicle tailpipe CO_2 emissions. The applicable margin and facility fees may be adjusted if Ford fails to achieve the specified targets. Increased transitional costs without governmental funding and lower-cost technology breakthroughs are also risks.
Legal	Non-compliance with regulatory requirements can lead to fines or sales restrictions.
Market	Meeting our climate goals relies on wide market acceptance of EVs. There is a risk that our offerings do not meet sales volume expectations. Low market acceptance could be caused by low gas prices, changes required to fueling (including charging) behavior or by more product entries — from existing and new market participants — than are supported by demand. Excess supply could lead to decreased revenue and profitability.
Reputation	Reputation risk is tied to other risks such as meeting product emission targets or sales volumes for environmentally friendly vehicles. Our reputation can suffer if we do not reduce CO_2 emissions in line with expected progress for climate stabilization, or if our transition to electrification is slower than expected, either of which could result in lower sales.
Resource Scarcity	As electrified products proliferate, there is a risk that scarcity of components or raw materials (such as those necessary for EV batteries) may disrupt our operations or increase our cost of goods sold, thereby slowing EV adoption if alternative components, materials or suppliers cannot be found in a timely manner. To facilitate our access to raw materials, Ford has entered into and may, in the future, enter into multi-year offtake agreements and other long-term contracts for the purchase of raw materials, which, subject to certain conditions, obligate us to purchase set amounts of materials, typically based on the market price at the time of delivery. Accordingly, we are subject to the risks associated with lower future demand for such materials as well as costs that fluctuate and are difficult to accurately forecast.
Workforce	With the significant shift in capabilities needed to deliver the transition to electrification, there is a risk of lack of skilled workers and programs necessary to maintain, upskill or reskill our workforce. Our ability to attract and retain talented, diverse, and highly skilled employees is critical to our success and competitiveness.

Physical Risks	
Acute: Extreme Weather	Climate change can lead to increased extreme weather events such as storms, wildfires or floods that can disrupt production or component supplies at our facilities, or within our supply chain. This may increase our costs and delay or otherwise impact both our production operations and customers' ability to receive our vehicles.
Chronic: Drought	*Climate change can lead to longer-term conditions such as extended droughts. Droughts can affect our access to water for our operations, especially in water-scarce areas. This may increase our operating costs or require investment to find alternative* solutions.

Major Climate-related Opportunities

Product	Developing a portfolio of EVs for the transition away from internal combustion engine (ICE) vehicles is an opportunity for Ford. Our portfolio includes all-electric, plug-in hybrid, hybrid, and fuel-efficient ICE vehicles (e.g., EcoBoost). This portfolio provides the company with the opportunity for growth and increased market share as the transition continues.
Financial	There is an opportunity to drive scale, diversify and directly source parts (battery) of the supply chain, and support battery innovation to deliver cost efficiency and improved profitability. Our global Corporate and Supplemental and 364-day revolving credit facilities are tied to sustainability-linked KPIs. The applicable margin and facility fees may be adjusted if Ford achieves the specified targets.
Conserving Resources	We see several opportunities to conserve resources such as battery materials and energy, as well as to improve business productivity. We are reducing energy consumption in operations through efficiency projects which will lower our energy costs. Ford Pro helps commercial vehicle owners improve fleet efficiency and uptime.
Reputation	An increasing number of consumers think it's important for companies to take action on climate change, and some are willing to pay more for products that are better for the environment. Meeting customer expectations by delivering electrified products and solutions, an always-on relationship with customers and an ever-improving user experience will strengthen our reputation and improve our bottom line. We believe Ford is well positioned to establish a "green" reputation with customers based on our electrification plans supplemented with improved customer experience and our broader sustainability efforts which include carbon neutral manufacturing and circular economy actions.
Workforce	Electrification represents a revolution in the auto industry as it reshapes the future of work. We are mindful of the impacts on our employees, our supply chain, our communities and our customers. We are addressing and evolving our Just Transition strategy as we move toward carbon neutrality and electrification.

Scenario / Resilience Analysis

Ford's Approach to Resilience Analysis

The scenario analysis informs Ford about how to position itself appropriately on climate risks, related opportunities, and the resilience of its strategy and business operations. Each scenario requires a high-level qualitative assessment of the potential impact of the scenario and climate-related issues on Ford's financial performance (revenues and costs) and financial position (assets and liabilities).

A team of internal experts qualitatively evaluated its corporate strategies assessing its resilience to each scenario. The team reviewed the scenario assumptions, brainstormed scenario implications to industry and Ford, and considered whether its strategies and investments are resilient to future business environments. The corporate analysis equally applies to FMCL as the nature of the business is also centered around vehicle manufacturing. Moreover, UK experts were part of the team assessing the resilience to each scenario.

The resilience analysis was conducted for the entire value chain with focus on Ford`s own operations and the supply chain. All previously discussed climate-related impacts, risks and opportunities were considered in the analysis. The scenario analysis covers a 2035-2045 time horizon. This is aligned with Ford`s current interim 2035 Science Based Targets initiative (SBTi) Targets. It is far enough into the future, as it will take time to decarbonize the transportation system, yet still relevant for Ford's strategic planning processes. These scenarios are not predictions of the future and do not represent forecasts.

The 2023 published analysis was refreshed at the beginning of 2024. The process of climate scenario analysis is evolving, and we expect the approaches and data quality to improve over time, which will further contribute to our understanding of climate risks and opportunities, and help strengthen our ability to adapt to climate change. This will include, in the future, the consideration of estimated anticipated financial effects from material physical and transition risks.

Introduction to the Scenarios

Ford uses the International Energy Agency's (IEA) World Energy Outlook (WEO) and Intergovernmental Panel on Climate Change (IPCC) scenarios as authoritative sources aligned with state-of-the-art science for global energy projections that are relevant to Ford's global footprint. WEO scenarios provide insight into energy supply and demand with implications for climate targets and economic development. Of the three WEO scenarios, Ford uses the Stated Policies Scenario and the Net Zero Emissions by 2050 Scenario shown in the table 2035-2045 Scenario Comparison Overview. Also included is the IPCC Representative Concentration Pathway 8.5 (RCP8.5) high emissions and temperature scenario. Like the WEO scenarios, RCP8.5 has underlying projections of energy consumption and socio-economic factors. These three scenarios cover conditions from high climate ambition to status quo to significant climate impacts, providing a useful range of circumstances to cover relevant risks and uncertainties in Ford's value chain.

The three scenarios:

- The Net Zero Emissions by 2050 Scenario (NZE) shows the global energy sector achieving net zero CO2 emissions by 2050, with advanced economies reaching NZE ahead of others.
- The Stated Policies Scenario (STEPS) is a pragmatic exploration of the current policy landscape, mapping out a trajectory of policies that are in place or under development by governments around the world.
- The IPCC's Representative Concentration Pathway 8.5 (RCP8.5) considers a case with high energy demand and greenhouse gas (GHG) emissions growth in the absence of climate policies, leading to high temperature increase.

2035-2045 Scenario Comparison Overview

	Net Zero Emissions Scenario (NZE)	Stated Policies Scenario (STEPS)	High Emissions/Temperature Scenario (RCP8.5)
Temperature Increase (2040 est.)	1.5°C	~1.8°C	2°C
Policy	Global policy implemented to limit temp. rise to 1.5°C CO2 pricing rises rapidly in all regions	Today's policies with no changes Existing and planned CO2 pricing	No explicit climate policy
Technology	Deploys a wide portfolio of clean energy technologies	Evolutionary growth	Modest progress, focusing on unconventional fossil energy development and food security
Energy Consumption (EJ) 2022 to 2040	632 to 528, -16.5% (elec +29%)	632 to 692, +9.5% (elec: +18%)	650 to 1000, +54%
Energy Mix	58% renewables & biomass	28% renewables & biomass	18% renewables & biomass
Energy Prices in 2030s	Oil averages $42/bbl	Oil averages $85/bbl	Fossil fuel prices double by mid-century (vs 2005)
EVs in 2030s	Higher EV adoption across markets	Lower EV adoption in advanced economies	Extremely limited EV adoption; continued reliance on oil in the transport sector
Environment	Less severe weather events	Increasing severe weather events	Frequent and severe weather events
Economy	3% average annual growth	3% growth slows due to high rebuilding costs	3% growth, but low per capita income increase as population growth is high. Little convergence between high- and low-income countries

Common Assumptions for WEO Scenerios

Many assumptions are common between the STEPS and NZE scenarios as described by the WEO:

- ⭑The global economy is assumed to grow by ~3% per year on average over the period to 2050, with large variations by region and over time
- ⭑GDP per capita in emerging market and developing economies continues to gradually move toward the levels in advanced economies
- ⭑The global population is assumed to rise from 7.8 billion people in 2021 to 8.5 billion in 2030 and 9.7 billion in 2050
- ⭑Improvements in health, diet and living conditions have gradually lifted life expectancy of the global population by a decade over the past 40 years. Coupled with declining fertility rates, this translates into a rising share of older people in the global population. An older population uses more energy than the average population at home, but less for transport
- ⭑The share of the global population living in towns and cities is expected to rise to almost 70% by 2050. Urban development has implications for patterns of energy use.

☆ Technology costs are crucial in determining how demand for energy services is met in each sector or country. The cost of energy technologies evolve over time in the scenarios as a result of continued research, improvements in manufacturing and learning-by-doing. However, a continuous process of technology improvement and learning is built into the modeling. A reduction in clean technology costs is assumed, albeit with variations depending on the level of policy support and extent of deployment

The Net Zero Emissions by 2050 Scenario (NZE)[3]

This is a normative IEA scenario that shows a narrow but theoretically achievable pathway for the global energy sector to achieve net zero CO_2 emissions by 2050, with advanced economies reaching net zero emissions ahead of others. This scenario also meets key energy-related United Nations Sustainable Development Goals, in particular, by achieving universal access to energy by 2030. This effort requires increased investment in clean energy and infrastructure output, in both emerging markets and developing economies. The scenario does not rely on emissions reductions from outside the energy sector to achieve its goals but assumes that non-energy emissions will be reduced in the same proportion as energy emissions. It is consistent with limiting the global temperature rise to 1.5°C by 2100 without a temperature overshoot (with a 50% probability).

The Stated Policies Scenario (STEPS)[3]

The Stated Policies Scenario provides a more conservative benchmark for the future because it does not assume that governments will reach all announced goals. The scenario is not designed to achieve a particular outcome, and the rise in global average temperatures associated with STEPS is around 2.4°C by 2100 (with a 50% probability). Instead, it takes a more granular, sector-by-sector look at what has been put in place to reach energy-related objectives, taking into account not just existing policies and measures but also those that are under development. The STEPS explores where the energy system might go without a major additional steer from policy makers.

High Emissions/Temperature Scenario (RCP8.5)[4]

The RCP8.5 scenario combines assumptions about high population and relatively slow income growth with modest rates of technological change and energy intensity improvements. With no explicit climate policy, the high energy demand is met primarily by fossil fuels. International trade in energy and technology is limited. There is a slow pace of innovation in non-fossil technology, with only modest cost and performance improvements. Technological progress is focused on advanced fossil technologies, particularly coal, and unconventional oil sources after 2050. Greenhouse gas (GHG) emissions more than double by 2050 due to increased fossil energy use and growing agricultural production for the large population.

The Results — Scenario Implications

The results of the resilience analysis are summarized separately for each scenario in the tables below. Key implications for industry and Ford are provided along with a short final assessment for Ford.

Net Zero Emissions by 2050 Scenario (NZE)

Scenario

★**Policy:** *What-it-takes policies to achieve net zero. CO_2 pricing in all regions*

★**Environment:** Low climate change. Severe weather events increase

★**Social:** More local and personal environmental activism

★**Economy:** Global growth 3% per year. Economy is driven by new industries providing green solutions and technologies

★**Energy prices:** Oil demand drops by 30% by 2030 and prices $42 per barrel

★**Technology:** Speed of scaling up innovation is rapid. Governments support R&D and collaborate to reduce costs. EV sales robust

Industry Implications

★*Significant carbon neutrality progress achieved as EVs become pervasive and consumers are motivated to contribute toward climate solutions*

★Low cost of oil favorably positions highly efficient internal combustion engine (ICE) vehicles in developing markets while pressure to sunset them remains strong in most regions

★Increased collaboration across sectors and within auto industry on key challenges

★The electric grid decarbonizes quickly with supporting policy

★*Innovation allows for seamless coordination of private and public transportation*

★Requires multiple mobility solutions for urban, suburban and rural applications

★Massive competition in green space with small, agile companies entering

★Fast-paced shift in skills and jobs

Ford Implications

★Rapid migration to EVs in developed countries while less-developed regions that struggle to switch to EVs have diverse, low-cost solutions and maintain ICE options

★Need to find alternative solutions for medium- and heavy-duty vehicles in response to ICE phase-out plans

★Fuel cell emphasis and technological advancement needed to retain commercial truck leadership

★Ford Pro solutions become a larger portion of the portfolio and mobility services expand

★Mix of public and private, first-mile and last-mile solutions

★Intense competition causes niche focus by smaller players causing Ford to buy up smaller innovative companies and incorporate them into the Company's technology portfolio or increase focus on "major" segments

★Occasional disruptions from weather events such as storms, wildfires or floods affect production at our facilities and must be managed.

★Cradle-to-grave focus on vehicles enables strong circular economy efforts.

★Rapidly changing technology requires workforce upskilling and reskilling

Ford Assessment: Technology opportunities and environmental needs align to deliver diverse solution sets addressing climate change during the transition to NZE. Swift action with agile product development processes is required due to heightened competition from newcomers. Challenge in finding winners globally to achieve scale.

Stated Policies Scenario (STEPS)

Scenario

★**Policy:** Assumes only policies already announced

★**Environment:** High climate change. Significant migration and rebuilding from frequent natural disasters

★**Social:** Middle class constrained due to pressure on urban areas. Urbanization is a key driver

★**Economy:** Global economy grows 3% per year but slows due to increasing rebuilding costs

★**Energy prices:** Oil demand rebounds, $82 per barrel

★**Technology:** Technologies get slowly cheaper. EV sales lower than expected and primarily in advanced economies

Industry Implications

★Mobility hampered by congestion, air pollution and severe weather

★Decreased demand for personal vehicles due to environmental impact and urban congestion. Increased reliance on public transportation

★Increased supply chain disruptions lead to more complexity to avoid dependence on single suppliers or regions

★Increased social pressure on companies and governments to take climate action

★The electric grid decarbonizes slowly with limited supporting policy

★Buy local initiatives/nationalism increase and undermine global brands

★Increased emphasis on individual energy independence as electrical grid ages

★Healthcare, safety, and education systems strained by climate events and social unrest

★Cost of living impacts and widening wealth gap

Ford Implications

★Lower than expected EV demand requires pricing and policy support

★Electric vehicles are required but are expensive. Low demand and lack of policy hinder their profitability.

★Vehicle solutions must be environmentally friendly (air quality and CO_2) and simultaneously rugged enough to handle severe weather

★Electric vehicles can provide a temporary source of electricity during power outages and extreme weather events

★Small vehicles, micro-mobility — such as e-bikes and e-scooters, and increased car-sharing satisfy the market for environmentally friendly solutions

★Smart mobility does not reach full potential as foreseen; autonomous vehicles are a niche market

★Increased extreme weather events such as storms, wildfires or floods disrupt production at our facilities. Production delays and cost increases lower sales and decrease profits.

★Supply chain redundancy needed to prevent weather-related supply chain disruptions. Carbon neutrality and electrification commitments are challenged

★Circular economy affects key sectors including battery manufacturing

Ford Assessment: A challenging environment and economy make strategy development complex, but limited policy provides some support for climate-focused actions. Increasing extreme weather events are a clear threat making it easier to gain multi-stakeholder support. Product, service, and supply chain diversification is critical to maintain resilience. Ford must accelerate work toward developing meaningful, market-driven policy solutions to address climate change with urgency.

High Emissions / Temperature Scenario (RCP8.5)

Scenario	Industry Implications	
★Policy: No climate policy ★Environment: Highest climate change with severe weather impacts. Poor air quality ★Social: Low per capita income, little growth. High disparity between low- and high-income countries ★Economy: Percent growth but low per capita income increase as population growth is high. Little convergence between high- and low-income countries. ★Energy prices: Oil demand rebounds, ~$82 per barrel ★Technology: Technological progress is modest, focusing on unconventional fossil energy development and food security	★High cost of living leads to less disposable income and widening wealth gap ★Low disposable income leads to decreasing market for personal vehicles. Growth of public transportation systems using fossil fuels ★Emphasis on greater self-sufficiency of individual countries and regions promotes the circular economy ★Limited international trade in energy and technology; greater reliance on domestically available resources	★The aging fossil-based electric grid requires continual maintenance and repair after severe weather events. ★Mobility severely hampered by congestion, air pollution due to continued use of fossil fuels for transport, and severe weather ★Little redundancy in supply chain due to domestic focus; disruptions more common ★Environmental concerns are locally strong, especially in high- and medium-income regions; lower-income regions are focused on food security ★Global population increase strains capacity of industrial production
	Ford Implications	
	★Lack of pricing and policy support minimizes the EV market ★Limited EV production. Domestic manufacturing emphasis makes obtaining battery materials for EVs difficult ★Internal combustion engine vehicles (ICEVs) dominate the market in this fossil fuel world. High cost of fuel increases demand for fuel efficient vehicles, making hybrid electric vehicles (HEVs) the standard engine type ★Demand grows for commercial vehicles and public transport; personal vehicle sales decline ★Small, rugged vehicles with higher ground clearance are required to handle severe weather and minimize operation cost	★Recurring extreme weather events, droughts and flooding require planning for relocation of assembly plants to less affected regions ★Manufacturing becomes regional with local supply chains. Materials are limited and costly requiring vehicle design changes ★Regional circular economy grows with resource scarcity ★Without global supply chain redundancy, weather-related disruptions must be managed. Supplier location vulnerability to physical climate risk is key factor in supplier selection ★Without supporting policies, carbon neutrality and electrification commitments are delayed/abandoned

Ford Assessment: Most difficult scenario in which to implement climate-based strategies due to societal disinterest. Business model maintains ICEV focus for decades with extremely limited or no EV production. Supply chain is fragile, local, and subject to disruptions by frequent extreme weather events, requiring careful management. Circular economy is key to secure resources and reduce costs. Resilience requires major changes from current business plan, with emphasis on smaller commercial vehicle HEV product offerings and locally-sourced raw and recycled materials, but does not achieve climate goals.

Resilience of Ford's Strategy

Key Findings

Through the scenario development process, Ford leaders and subject matter experts identify risks, associated challenges, and opportunities as Ford works toward its carbon neutrality goals. Ford identified the following themes as critical to success: its EV strategy, public policy, workforce, customer experience, finance, mobility and AI, operations, suppliers, and reputation. This analysis is also applicable to FMCL. Below are examples of how these themes are exposed through the scenario analysis.

In the Net Zero Emissions by 2050 scenario, Ford is well positioned to respond to the opportunities of its electric vehicle strategy. Risks in this scenario for Ford, and companies in most industries, include:

★ Rapid acceleration of diverse technology solutions that require workforce upskilling and reskilling

★ Heightened competition from agile newcomers in the "green space"

Ford's strategic response includes introducing a new learning strategy at Ford and investing in job training and career readiness initiatives. Ford will continue to adapt its reskilling process going forward to address its changing vehicle portfolio.

Risks in the Stated Policies Scenario for Ford, and companies in most industries, include:

★ Higher costs for available technologies to reduce CO_2 emissions leading to lower consumer acceptance

★ Engineering and financial resources required to deploy new technologies, while maintaining existing technologies across a range of products

★ Increased production stoppages at Ford or supplier facilities due to climate-related natural disasters. A significant disruption to its production schedule and lower volumes of more profitable products could have a substantial adverse effect on our financial condition

In the RCP8.5 high emissions and temperature scenario, risks to Ford and society include:

★ Increased supply chain disruptions due to climate-related severe weather and drought, which is complicated further by the shift from international to regional supply chains

★ Decreased vehicle sales due to lower demand for personal vehicles; EVs sales extremely limited.

For both the STEPS and RCP8.5 scenarios there is high risk that Ford, and companies in most industries, cannot decarbonize the entire value chain to reach its climate and energy aspirations.

The lack of a comprehensive, market-driven carbon pricing solution reflects a major shortcoming of the STEPS and RCP8.5 scenarios. Furthermore, without any explicit climate policies, the RCP8.5 high emissions and temperature scenario fails to set climate goals, let alone meet them. Ford faces significant costs to adapt to climate change in this scenario, including relocating facility sites and changing product offerings.

Analysis of the three scenarios indicates that, while consumer preferences and technology choices are changing, there is uncertainty associated with the pace of uptake or the achievable market share of new technologies, such as EVs and autonomous vehicles.

While the Net Zero scenario suggests high uptake, the competition for market share is increased. In the STEPS scenario, however, lower-than-expected EV demand or increased weather events could result in increased costs and decreased EV sales and revenue. The RCP8.5 scenario shows that without supporting policies, electric vehicle opportunities are extremely limited.

Many factors lead to this uncertainty in EV market penetration. Urban environment trends are expected to be a major determinant of consumer vehicle choice along with policy, infrastructure updates and realizing affordable technologies. As a result, we expect carbon neutrality to be reached in different product segments and regions at different times. Passenger vehicles will be carbon neutral before larger commercial vehicles, and advanced economies with progressive policies will be carbon neutral before the rest of the world.

In summary, a critical take-away from this future scenario deep dive is a need for a diverse set of environmentally friendly technology solutions that are responsive to the changing needs of our consumers.

Ability to Respond

Ford is committed to building a profitable, enduring EV business for the long-term. This will help to address the largest source of our greenhouse gas (GHG) emissions and successfully compete in a low-carbon economy. Ford's EV strategy is to build the greatest vehicles at the lowest cost and invest in innovative, software-enabled customer experiences that our customers love and differentiate our brand. Along this journey we anticipate that EV technology will continue to advance and become more affordable, while the grid will continue to decarbonize, bolstering our confidence in achieving GHG reductions.

We will partner when necessary to address key enablers, leverage scale and avoid capital destruction. Additionally, Ford Pro is an integrated partner helping customers decarbonize their fleets, not just with vehicles but also charging solutions and productivity software.

Ford's response to the various scenarios will require different solutions, but the building blocks are in place. Our EV foundation will allow us to scale as the market grows, and we will continue to address key enablers. Our lower emissions internal combustion engine vehicles, including traditional hybrids and alternative fuel-compatible vehicles, help decarbonize the business in the transition or in the high temperature scenario

Performance Data

Data supporting our metrics & targets

Value Chain Greenhouse Gas (GHG) Emissions

	Footnote	2021	2022	2023
Significant Scope 3 GHG Emissions (metric tons CO_2e)	1,2			
Category 11, Use of sold products (vehicle use) — FMCL	3	11,951,676	11,373,187	11,503,930

Vehicle Fuel Economy and CO_2 Emissions

	Footnote	2021	2022	2023
Global CO_2 Tailpipe Emissions (g/km)				
Ford United Kingdom CO_2 Tailpipe Emissions per Passenger Vehicle	4	—	—	—
Ford United Kingdom CO_2 Tailpipe Emissions per Light Commercial Vehicle	4	—	—	—
Global Fleet Efficiency	5			
Well-to-wheels intensity (gCO_2e/km)		303	311	311
Percent reduction in well-to-wheels gCO2e/km intensity since 2019 (Science Based Target initiative (SBTi))		8%	6%	6%

Vehicle Sales

Electric and Hybrid Vehicles Sold — United Kingdom (retail)	Footnote	2021	2022	2023
Total EV Retail		**11,279**	**21,520**	**26,349**
Zero Emission Vehicle (ZEV)		3,502	6,617	5,340
Hybrid Emission Vehicle (HEV)		1,331	4,828	10,909
Plug-in Hybrid Vehicle (PHEV)		6,446	10,075	10,100

Methodology and Assumptions

Scope 3, Category 11 use of sold products represents the well-to wheels GHGs emitted during energy production and vehicle use by Ford vehicles sold in the UK each year, over a 241,000 km (150,000 mile) lifetime. Emission factors for fuels and electricity are obtained from the JEC Well to Wheels study V4 and the UK Government GHG Conversion Factors dataset.

Footnotes

1. FMCL's Scope 1 and 2 emissions can be found in the section Streamlined Energy and Carbon Reporting on pages 38-39
2. FMCL Scope 3 emissions are estimated for only the use of sold products category, the largest emissions source.
3. Preliminary estimates of Scope 3 GHG emissions are calculated from internal sales data and regulatory g CO_2/km tailpipe emission rates. At the time of publication, only 2021 provisional vehicle data had been published by the UK government.
4. Currently, official data is not available from VCA (Vehicle Certification Agency).
5. 2023 data are preliminary

Appendix – TCFD Index 2024

TCFD recommended disclosure	Location (section, page reference) and notes	CA 414CB
GOVERNANCE: Disclose the organization's governance around climate-related risks and opportunities.		
a. Describe the board's oversight of climate-related risks and opportunities.	Governance and Risk Management, pages 13-16	(a)
b. Describe management's role in assessing and managing climate-related risks and opportunities.	Governance and Risk Management, pages 13-16	(a)
STRATEGY: Disclose the actual and potential impacts of climate-related risks and opportunities on the organization's business, strategy, and financial planning where such information is material.		
a. Describe the climate-related risks and opportunities the organization has identified over the short, medium and long term.	Materiality and Climate Risks and Opportunities, pages 16-18 Governance and Risk Management, pages 13-16	(d)
b. Describe the impact of climate-related risks and opportunities on the organization's businesses, strategy, and financial planning.	Transition Plan, Metrics & Targets, pages 7-13	(e)
c. Describe the resilience of the organization's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.	Scenario / Resilience Analysis, pages 18-25	(f)
RISK MANAGEMENT: Disclose how the organization identifies, assesses, and manages climate-related risks.		
a. Describe the organization's processes for identifying and assessing climate-related risks.	Materiality and Climate Risks and Opportunities, page 16-18	(b)
b. Describe the organization's processes for managing climate-related risks.	Governance and Risk Management, pages 13-16	(b)
c. Describe how processes for identifying, assessing, and managing climate-related risks are integrated into the organization's overall risk management.	Governance and Risk Management, pages 13-16	(c)
METRICS AND TARGETS: Disclose the metrics and targets used to assess and manage relevant climate-related risks and opportunities where such information is material.		
a. Disclose the metrics used by the organization to assess climate-related risks and opportunities in line with its strategy and risk management process.	Transition Plan, Metrics & Targets, pages 7-13	(h)
b. Disclose Scope 1, Scope 2, and if appropriate, Scope 3 greenhouse gas (GHG) emissions and the related risks.	Transition Plan, Metrics & Targets, pages 7-13 Performance Data, page 38 SECR, pages 38-39	(h)
c. Describe the targets used by the organization to manage climate-related risks and opportunities and performance against targets.	Transition Plan, Metrics & Targets, pages 7-13	(g)

Footnotes and Disclaimers

1. https://www3.weforum.org/docs/WEF_First_Movers_Coalition_Impact_Brief_2024.pdf
2. Excerpts from "International Energy Agency | World Energy Outlook 2022 & 2023", Chapter 2.
3. International Energy Agency | World Energy Outlook 2023, pp. 91-92, 295.
4. Riahi, K., Rao, S., Krey, V. et al. RCP 8.5—A scenario of comparatively high greenhouse gas emissions. Climatic Change 109, 33 (2011). https://doi.org/10.1007/s10584-011-0149-y

STRATEGIC REPORT *(continued)*

Key performance indicators

The Company measures its financial performance by reference to profitability and market share based on the strategies set out above. Some of the key performance indicators used by the business are set out below:

		2023	**2022**
Revenue	Revenue is up 11%, primarily volume, vehicle mix and pricing.	£13,318m	£12,029m
Market share	Total Market growth 18% YoY, Ford volume increased YoY with reduced market share.	10.8% market share (PV and CV)	12.0% market share (PV and CV)
PBIT	*Improved profit before interest and tax reflects* primarily commercial vehicle market strength and improved pricing and vehicle mix.	*£374m*	*£297m*
Net assets	Balance Sheet position primarily explained by pension remeasurement.	£2,767m	£3,045m

Results

The Company's result for the year is set out in the income statement on page 46.

The latest position of the pension schemes under Financial Reporting Standard 101 ("FRS 101") (disclosed in note 20 to the financial statements) shows a net surplus at the year-end before deferred tax of £1,388m (2022: £1,845m).

Employee communications

We recognise that good communication supports employees in their roles and improves organisational performance. Effective communication is important for developing trust, increasing engagement and ultimately enriching our culture.

During the year, there were regular meetings between management and employee representatives at all Ford locations to review operational performance and matters of local importance. National level meetings, involving senior management and union officials were also held regularly during the year to discuss overall business performance and related matters.

The Company has continued to communicate directly with employees, as appropriate, via supervisory briefings, Employee Information bulletins and @FordOnline, the Ford intranet web-based system.

STRATEGIC REPORT *(continued)*

Diversity, Equity and Inclusion (DEI)

Ford is committed to supporting and sustaining a diverse, equitable, and inclusive workplace. As we move forward, our intention is to harness the power of our talented team to help fuel our transformation and further empower Ford to better serve the diverse customers and communities where we live and work.

Our Global DEI Vision

We respect the different cultures and beliefs of our team members, customers, and the communities we serve. Our journey is ongoing and our commitment unwavering as we nurture an equitable workplace where each person is valued, empowered to do their best work, and inspired to move freely and pursue their dreams.

As the company transforms, so have our plans to advance DEI globally. We are focused on the long-term cross-functional work required to put the resources and systems in place to equitably support each employee's career journey, and to grow and sustain an inclusive, global workplace.

Employee Resource Groups

Employee Resource Groups (ERGs) are voluntary, employee-led global organizations that operate as part of the Global DEI Office. ERGs connect individuals, and allies, who share common affinities, interests, and experiences and serve as a place for employee learning, collaboration, and development.

In 2023, we transformed how our UK ERGs operate, to become part of a global structure in order to increase efficiency, better support employees, and to further advance the Ford+ plan. All of our global ERGs are aligned to promote and support diversity and inclusion by focusing on three strategic areas:

- People — Offer a network for employees sharing an affinity to connect, collaborate, and access resources for personal and professional development.
- Community — Promote the company's commitment to philanthropy and to building a better world.
- Business — To act as brand advocates and support the Ford+ plan.

Our Community

We actively support our local communities through our employee volunteering efforts, through the work of the Ford Britain Trust and the Ford Motor Company Philanthropy.

Volunteering

We offer paid time off for employees to enable them to give back to their local communities. The Company aims to contribute to society and integrate Ford within the local community, build a good reputation with customers and potential employees and encourage personal development through team building skills and job enrichment.

Each year, thousands of employees volunteer in community service projects around the world, bringing unique skills, passion and teamwork to grassroots organizations and non-profits. Since 2005, Ford employees have logged more than 1.7 million volunteer hours – feeding the hungry, building homes, renovating schools, installing clean water systems and helping in many more ways to give back to communities across six continents.

STRATEGIC REPORT *(continued)*

Our Community *(continued)*

Ford Britain Trust

The Ford Britain Trust was established back in April 1975, with the purpose of supporting the local communities where Ford and its employees live and work. Ford Britain Trust pays particular attention to projects focusing on education (including STEM), sustainability and the environment, those with disabilities, youth activities and projects that provide clear benefits to local communities. To date more than £4 million has been awarded by way of grant donations to various organisations and good causes.

Ford Motor Company Philanthropy

As the global philanthropic arm of Ford Motor Company, Ford Philanthropy focuses on providing access to essential services, education for the future of work and entrepreneurship opportunities for under-resourced and underrepresented communities. Ford Philanthropy's partnerships and programming are designed to be responsive to unique community needs, ensuring people have equitable opportunities to move forward. Harnessing Ford's scale, resources and mobility expertise, Ford Philanthropy drives meaningful impact through grantmaking, Ford Resource and Engagement Centers and employee volunteerism. For more information, visit fordphilanthropy.org or join us at @FordPhilanthropy on Facebook, Instagram and Twitter.

Health and Safety

Health and Safety of employees remains a priority consideration within the Company.

The Chief Medical Officer, continues to manage the Company's site occupational health services in partnership with an external medical specialist provider. Together they deliver a professional service designed to provide independent assessment and advice on work and health, alongside emergency call out and walk in services.

Work continues to develop the service to support the mental and physical health of our workforce, and is aligned to wellbeing initiatives developed in collaboration with wellbeing teams.

With safety professionals located across all main locations, the Safety team continue to advise and support management to improve safety metrics and key performance indicators across all Ford locations while improving internal assessment process ratings.

Ford complies with health and safety legal requirements and has processes in place to minimise health and safety risks throughout the operation. This is achieved by ensuring that Ford health and safety management systems are consistent with UK health and safety executive guidance for managing health and safety.

Ford have implemented updated processes to control risks associated with the design, development, and manufacture of Battery Electric Vehicles.

In manufacturing areas, Ford use a standardised safety operating system which specifies minimum operating requirements to manage safety in operational areas. The Company remains committed to improving essential safety skills at all levels of the organisation offering a comprehensive range of targeted health and safety training programmes.

STRATEGIC REPORT *(continued)*

Corporate social responsibility

"Contributing to a better world has always been a core value at Ford, and our commitment to sustainability is a key part of who we are. Our vision is to create an even more dynamic and vibrant company that improves people's lives around the world and creates value for all of our stakeholders."

William Clay Ford, Jr., Executive Chairman, Ford

The Company has well established policies for safeguarding and improving the social and environmental impact of its operations. For example, all the Company's manufacturing locations are ISO14001 certified and, as part of a joint initiative agreed with its European Works Council, it operates to agreed social rights and social responsibility principles. We also encourage our suppliers both to work to achieve ISO14001 certification and to operate their own plants to a standard consistent with our principles. Globally 100% of our production suppliers, who wish to seek future business with Ford, are ISO14001 certified. We operate a diversity award program; the Chairman's leadership award for diversity (CLAD). These annual awards celebrate our efforts in Europe for an inclusive culture. This approach is mirrored by our Purchasing team, who evaluate and reward Ford suppliers for their diversity efforts.

The Company continues to undertake class leading environmental and social responsibility actions. The Company's commitment to the environment is demonstrated through examples such as: the wind turbines to power the state-of-the-art Dagenham Diesel Centre manufacturing facility at Dagenham. The site is a zero waste to landfill site, we compress and extract and recycle oil from plant sludge and use the dried material as a fuel for incinerators.

Social responsibility is equally demonstrated through a focus on vehicle safety and our commitment to the community. Our corporate safety policy outlines our commitment to design and build vehicles that meet or exceed applicable laws and regulations, while meeting the safety needs and expectations of our customers. In line with our policy letter, Ford is continuously working to enhance the safety of our products.

Our commitment to the community is built around the support and encouragement of various employee volunteering efforts, the backing and operating of the Ford Britain Trust and the on-going relationship and support of a range of charitable and altruistic activities.

Our employees are committed to helping the community through their volunteering efforts, both in person and virtual volunteering.

Global Caring Month, which takes place during September, is a concentrated focus on community service, with volunteers supporting projects focused on education, equity, economic and community development, health and basic needs programs. Ford Motor Company PhilanthropyF, working with their international grant making partner GlobalGiving, also provide the opportunity for non-profits to receive a volunteering grant so they can buy the necessary tools and supplies to support the activities or a gratitude grant, designed to help them to sustain or expand their charitable services. In 2023 charities supported in the UK included Essex and Herts Air Ambulance Trust, The Bike Project and Professors without Borders.

The Ford Motor Company Philanthropy is the philanthropic arm of Ford and has worked shoulder-to-shoulder with communities globally to help build a better world for more than seven decades. Ford Philanthropy co-create and invest in programs and partnerships that expand access to opportunities to help move people and communities forward. Their work focuses on three key areas: essential services, education for the future of work, and entrepreneurship. This includes programs that expand access to fresh food, train people for jobs, and connect individuals to resources to build a new business.

STRATEGIC REPORT *(continued)*

Corporate social responsibility *(continued)*

In the UK, Ford Philanthropy projects include the Ford College Community Challenge, Ford Smart Mobility Challenge, education for the future of work programs such Primary Engineer's "Engineering a Career" program and the Athena program run with Loughborough University. Ford Philanthropy also supports Future Youth Zone based in Barking and Dagenham and provides food and meal services working with The Felix Project.

On behalf of the Board

Andrew Duckers

A. Duckers
Director
25 September 2024

CORPORATE GOVERNANCE REPORT

Corporate Governance Report for the year ended 31 December 2023

The following section sets out the Company's corporate governance arrangements as required under Paragraphs 11B and 11C of Schedule 7 to the Large and Medium sized Companies and Groups (Accounts and Reports) Regulations 2008 and satisfies the requirements set out by Section 172 (1) of the Companies Act 2006. The section 172 statement can be found on pages 3-6 of the Strategic Report.

The Board is committed to maintaining high standards of corporate governance to support the delivery of the business strategy, to maintain positive relations with all the Company's stakeholders and to create long-term value for its shareholder.

During the reporting year, the Company applied the Wates Corporate Governance Principles for Large Private Companies (the "Wates Principles").

This report provides details on how the Board have approached their responsibilities during the year which, in turn, demonstrates how the Directors have acted in a way which is likely to promote the success of the company, as set out in section 172(1) and is explained more fully using the six Wates principles set out below.

Wates Principles	
Purpose An effective board promotes the purpose of a company and ensures that its values, strategy and culture align with that purpose.	The Company's values are aligned with those of Ford Motor Company. A principal value is that employees act with integrity and demonstrate ethical behaviour, as set out in the Company's Employee Handbooks and related policies. The Company's employee engagement and equal opportunities and diversity initiatives are set out on pages 28-29 in the Company's Strategic Report. The Board is fully aligned with Ford Motor Company's purpose: To help build a better world, where every person is free to move and pursue their dreams. This will be achieved globally through the delivery of the Ford+ plan which is customer-centric and is focused on enriching customer experience through disruptive technology, building new capabilities and deepening loyalty.
Composition Effective board composition requires an effective chair and a balance of skills, backgrounds, experience and knowledge, with individual directors having sufficient capacity to make a valuable contribution. The size of a board should be guided by the scale and complexity of the company.	The Board composition for 2023 is detailed in the Directors' Report on page 36. The Board is satisfied that its composition includes individuals with a mix of skills and experience that are up to date, cover the key business areas necessary to make informed decisions and provide effective oversight of the Company's business risks. The Board regularly receive briefings on pertinent thematic issues.
Responsibilities A board should have a clear understanding of its accountability and terms of reference. Its policies and procedures should support effective decision-making and independent challenge.	The chairperson or their delegate chairs regular Board meetings which have Board presentations containing information and data to drive matters. requiring discussion and decision. There are clear lines of responsibility between the members of the Board in their work responsibilities, thereby ensuring a broad range of expertise and knowledge to make informed decisions. The Board has developed a list of matters to be covered at the Board meetings throughout the year, which includes standing agenda items for each meeting which cover the key operating areas of the Company's business together with report outs from subject matter experts in other key areas on a periodic basis, including internal controls, pensions, property, tax matters, environmental matters. Examples of matters considered by Board during the reporting period are set out on page 35.
Opportunity and risk A board should promote the long-term success of the company by identifying opportunities to create and preserve value and establishing oversight for the identification and mitigation of risks.	The Chairperson has regular meetings with the Ford of Europe decision makers to discuss the Company strategy. Representatives from the Board engage with Ford Motor Company to ensure that the Company's plans are fully aligned with the group. One of the Directors attends the regular Ford of Europe Audit Committees and, where appropriate, would report back matters to the Board which have material implications for the Company. Each of the Directors for their respective specialist areas receives a copy of any audit report conducted for their area. Where appropriate, the Director would raise any material issues to the Board. Furthermore, the Board monitored the implementation of the UK business transformation and other relevant strategic projects which are being undertaken to deliver value for stakeholders as well as exploit entrepreneural opportunities.
Remuneration A board should promote executive remuneration structures aligned to the sustainable long-term success of a company, taking into account pay and conditions elsewhere in the company.	The Company rewards employees and members of the Board for performance and contributions to business success. The Company's compensation and benefits package in total will be competitive with leading companies. Compensation is generally comprised of three key elements; base salary, annual bonus and long term incentive plans or stock-based awards for certain levels of employees.
Stakeholders A board has a responsibility to oversee meaningful engagement with material stakeholders, including the workforce, and have regard to that discussion when taking decisions.	The board fostered good stakeholder relationships based on the company's purpose. Full particulars of the Company's stakeholder engagement are contained in the section 172 statement in the Strategic Report on pages 3-6.

CORPORATE GOVERNANCE REPORT *(continued)*

Matters considered by the Board during the reporting period

During the reporting period, the Board held sixteen Board meetings during which it deliberated the non-exhaustive list of matters below which demonstrates how the Directors have complied with their statutory duties and in particular s.172 CA 2006 duty to promote the success of the Company:

- The Board considered and approved the implementation of the UK business transformation by ensuring that the future business was streamlined and fit for purpose and also received periodic status updates on the business transformation project implementation.
- The Board received periodic Health and Safety Reports including metrics dashboards and improvement action plans, where relevant.
- The Board continued to monitor the long-term cash and liquidity position of the Company including the status of its major strategic projects.
- The Board continued to ensure that the Company delivered products that met customers expectations.
- The Board continued to ensure that the Company has a robust and resilient Business Continuity Plan.
- The Board continued to monitor the development of a robust ESG reporting framework and plan in line with the legislative requirements including ensuring that there is a robust disclosure assurance framework underpinning the ESG risk strategy.
- The Board received periodic tax reports in relation to compliance and staff training.
- The Board continued to support the timely publication of the gender and ethnicity pay gap report and the work that is being done to support women's advancement and development.
- The Board continued to support the timely publication of the Company's payment practices report and support practices to ensure payments are made within contractual timescales.
- The Board reviewed and approved the Company's Modern Slavery Statement and supports practices as part of the Ford group which prevent modern slavery practices and supported the timely publication of the statement in line with legislative requirements .
- The Board continued to receive periodic updates on significant legal matters and ensured that adequate provisioning's are made, where necessary.
- The Board reviewed and approved the Company's Annual Report and Financial Statements for the prior financial year.
- The Board continued to receive periodic reports from Internal Controls to ensure that the controls' framework is adequate and remedial action had been taken, where necessary.
- The Board continued to receive periodic updates the Site Management & Property team.
- The Board continued to receive periodic reports from the Treasury, Sales, Manufacturing, Product Development project, Data Protection, Pensions, Ford of Britain Charitable Trust teams.

DIRECTORS' REPORT

Directors' Report for the year ended 31 December 2023

The directors present their ninety-fifth report and audited financial statements of the Company for the year ended 31 December 2023.

Directors

The directors of the Company who were in office during the year and up to the date of signing the financial statements were:

T. Slatter (Chairman) (resigned 29 July 2023)
L. Brankin (Chair & Managing Director)
J. Schep (resigned 24 August 2023)
T. Sapsford
S. Duerholt (resigned 1 January 2023)
A. Duckers (appointed 1 January 2023)
J. Skerry
N. Walker

Qualifying indemnity provisions

Qualifying third party indemnity provisions and pension scheme indemnity provisions are in force for the Company's directors as of the date of this report and were in force for the duration of 2023.

Employees' equal opportunities

With a focus on inclusive recruitment, we welcome all applications, including from people with disabilities. We provide DEI training for recruiters and seek to provide reasonable adjustments where required, with a strong focus on supporting the individual. It is the intent of the Company to support, develop and progress talent within our organisation, irrespective of disability and wherever possible, we seek to retain employees who become disabled during the course of their employment.

Future developments

The directors have no plans at present to change the Company's activities (as described in the Strategic Report) in the near future.

Customers, Suppliers and Others

As described in the Strategic Report.

Dividends

The directors recommend that a dividend of £84,500,000 (9.00 pence per share) be paid in respect of 2023 ((2022: £100,000,000 (10.17 pence per share))

Political donations

There were no contributions to political parties in respect of 2023 (2022: £nil).

DIRECTORS' REPORT *(continued)*

Financial risk management

The Company's operations expose it to a variety of financial risks that include price risk, credit risk, liquidity risk, interest rate risk and exchange rate risk. The Company has in place a risk management programme that sets out specific guidelines to manage these risks and the circumstances where it would be appropriate to use financial instruments to manage these.

Price risk

The Company is exposed to commodity price risk as a result of its operations and has entered into arrangements with related parties to manage a portion of this risk. The Company holds no listed equity investments as part of its core business. However, the Company maintains defined benefit pension schemes with material holdings in return seeking investments. The Company performs regular reviews to ensure the pension schemes are adequately funded over time.

Credit risk

The Company has implemented policies that require appropriate credit checks on potential customers. The amount of exposure to any individual counterparty is subject to a limit, which is specified within individual agreements.

Liquidity risk

The Company maintains access to short-term financing designed to ensure sufficient liquidity.

Interest rate cash flow risk

From time to time, the Company has floating rate interest bearing assets and liabilities which create a net exposure to changes in interest rates. The Company has chosen not to use derivative financial instruments to manage these risks, but the directors will revisit the appropriateness of this policy should the Company's exposure change significantly.

Exchange rate risk

The Company has exposures to exchange risks due to sourcing materials and selling products in various currencies. The Company has entered into arrangements with related parties to manage a portion of these risks.

The Company has certain of its assets denominated in non-functional currencies, created both cash flow and statement of financial position re-valuation risk. The Company manages this risk through the use of foreign exchange derivatives resulting in no material impact from exchange rate changes.

Research and development

Research and development as part of the ongoing drive to maintain a flow of customer-focused, innovative and affordable vehicle launches is now carried out by the Company's parent company, Ford Technologies Limited. The Company continues to be a substantial employer of engineers and technicians, a centre of excellence for leading edge automotive technologies and is a major contributor towards the UK Government's objective of further developing the fields of science, engineering and technology.

DIRECTORS' REPORT *(continued)*

Streamlined Energy and Carbon Reporting (SECR)

	Energy Consumption kWh		CO2 Emissions Location based tCO2		CO2 Emissions Market based tCO2	
Scope 1 Energy/Emissions	**2023**	**2022**	**2023**	**2022**	**2023**	**2022**
Natural Gas	56,774,909	49,862,544	10,386	9,102	10,386	9,102
Gas Oil	11,631,666	8,472,545	2,983	2,176	2,983	2,176
Business Owned Transport	56,597,439	63,932,023	14,340	16,374	14,340	16,374
Fuel for Product Testing	854,096	872,815	217	224	217	224
Total Scope 1 Energy/Emissions	**125,858,110**	**123,139,927**	**27,926**	**27,876**	**27,926**	**27,876**
Scope 2 Energy/Emissions						
Electricity	89,306,765	93,484,415	18,493	18,078	50	38
Total Scope 2 Energy/Emissions	**89,306,765**	**93,484,415**	**18,493**	**18,078**	**50**	**38**
Scope 3 Energy/Emissions						
Employee Owned and Leased Vehicles	1,050,474	885,340	255	219	255	219
Total Scope 3 Energy/Emissions	**1,050,474**	**885,340**	**255**	**219**	**255**	**219**
Total Scope 1, 2 & 3	**216,215,349**	**217,509,682**	**46,674**	**46,173**	**28,231**	**28,133**

Carbon Intensity Metric	**2023**	**2022**
Revenue in mil £	13,318	12,029
tCO2 per mil £ revenue	3.50	3.84

DIRECTORS' REPORT *(continued)*

Streamlined Energy and Carbon Reporting 2023 *(continued)*

Scope and Methodology

Ford Motor Company Limited (FMCL) reports greenhouse gas (GHG) emissions in accordance with the Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018. We follow the HM Government Environmental Reporting Guidelines (March 2019) and have defined the scope of the FMCL SECR report as all energy use and carbon emissions from our operations in the United Kingdom, using the financial control boundary approach.

- Scope 1 emissions are generated from the gas and gas oil used in all buildings where FMCL operates in the UK and emissions generated from company vehicles and trucks used for business travel in the UK. We also include the fuel combusted for product testing.
- Scope 2 emissions are generated from the use of electricity in all buildings FMCL occupies in the UK.
- Scope 3 emissions are generated from employees on company business using their own or leased vehicles.

The reporting period for GHG emissions ran from 1 January to 31 December 2023. Conversion factors were taken from the 2023 UK Government's Conversion Factors for Company Reporting document. Both location based and market based emissions are presented.

Where possible, energy use was determined from supplier invoices or sub meter readings. Where the landlord controls the supply via a service arrangement, estimates were made based on the floor space occupied or standard consumption values. Transport emissions for company owned trucks and emissions from product testing were determined from fuel consumption. Fuel expense and mileage claims were used to determine emissions from other business travel in company owned or leased vehicles as well as employee vehicles on company business.

Energy Efficiency Actions Taken

All FMCL operated facilities are supplied with electricity from renewable energy sources, and four wind turbines with a total capacity of 6.4 MW generate electricity directly at our manufacturing locations. Energy efficiency is engrained in our daily processes through the Ford Energy Management Operating System (EMOS). Under EMOS, targets are set and tracked for each production facility and road maps are developed to achieve these targets. Energy teams work on identifying improvement opportunities.

Best practice energy efficiency actions continue to be implemented such as switching off all engines and ancillaries on a daily basis, and at the weekends in the plant. In addition, new energy efficient chillers have been installed in manufacturing operations and heat retention screening has been installed in zones to conserve energy. The site also continues to install LED lighting throughout the facility to reduce electricity demand. Remote working and the use of virtual meetings has reduced employee commuting. Electric vehicle charging points are available to allow employees to charge their vehicles while at work, as part of the electrification infrastructure roll-out.

DIRECTORS' REPORT *(continued)*

Statement of directors' responsibilities in respect of the financial statements

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulation.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 101 "Reduced Disclosure Framework", and applicable law).

Under company law, directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing the financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- state whether applicable United Kingdom Accounting Standards, comprising FRS 101 have been followed, subject to any material departures disclosed and explained in the financial statements;
- make judgements and accounting estimates that are reasonable and prudent; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006.

Directors' confirmations

In the case of each director in office at the date the directors' report is approved:

- so far as the director is aware, there is no relevant audit information of which the company's auditors are unaware; and
- they have taken all the steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information.

DIRECTORS' REPORT *(continued)*

Going Concern

The directors have considered the financial position of the Company as at 31 December 2023 (net current assets £1,523m, net assets of £2,767m); the trading arrangements of the Company within the Ford group; and the projected cash flows and financial performance of the Ford group within Europe and globally for the 12 months from the date of approval of these financial statements. The directors also have taken action to ensure that appropriate cash resources are available to fund the Company's operations. Therefore the directors consider, after making appropriate enquiries that the Company has adequate resources to continue in operational existence for the foreseeable future. For this reason they continue to adopt the going concern basis in preparing the financial statements.

Independent auditors

PricewaterhouseCoopers LLP have expressed a willingness to remain as independent auditors of the Company.

On behalf of the Board

Andrew Duckers

A. Duckers
Director
25 September 2024

Registered office:
Arterial Road
Laindon
Essex
SS15 6EE

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF FORD MOTOR COMPANY LIMITED

Report on the audit of the financial statements

Opinion

In our opinion, Ford Motor Company Limited's financial statements:

- give a true and fair view of the state of the company's affairs as at 31 December 2023 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, including FRS 101 "Reduced Disclosure Framework", and applicable law); and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements, included within the Annual Report and Financial Statements (the "Annual Report"), which comprise: the Statement of Financial Position as at 31 December 2023; the Income Statement, the Statement of Comprehensive Income and the Statement of Changes in Equity for the year then ended; and the notes to the financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities under ISAs (UK) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We remained independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, which includes the FRC's Ethical Standard, as applicable to other entities of public interest, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

To the best of our knowledge and belief, we declare that non-audit services prohibited by the FRC's Ethical Standard were not provided.

We have provided no non-audit services to the company in the period under audit.

Conclusions relating to going concern

Our evaluation of the directors' assessment of the company's ability to continue to adopt the going concern basis of accounting included:

- Reviewing management's assessment of the going concern risks faced by the business;
- Understanding the nature of the business and its arrangements with other group entities;
- Considering the financing and liquidity of the company, including the covenants related to debt and the ability of the company to achieve such covenants; and
- Considering the wider automotive market, external economic and social factors which may have a bearing on the assessment.

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF FORD MOTOR COMPANY LIMITED *(continued)*

Conclusions relating to going concern (continued)

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

However, because not all future events or conditions can be predicted, this conclusion is not a guarantee as to the company's ability to continue as a going concern.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

With respect to the Strategic report and Directors' Report, we also considered whether the disclosures required by the UK Companies Act 2006 have been included.

Based on our work undertaken in the course of the audit, the Companies Act 2006 requires us also to report certain opinions and matters as described below.

Strategic report and Directors' Report

In our opinion, based on the work undertaken in the course of the audit, the information given in the Strategic report and Directors' Report for the year ended 31 December 2023 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.

In light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we did not identify any material misstatements in the Strategic report and Directors' Report.

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF FORD MOTOR COMPANY LIMITED *(continued)*

Responsibilities for the financial statements and the audit

Responsibilities of the directors for the financial statements

As explained more fully in the Statement of directors' responsibilities in respect of the financial statements, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view. The directors are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Based on our understanding of the company and industry, we identified that the principal risks of non-compliance with laws and regulations related to the Companies Act 2006 and UK tax legislation, and we considered the extent to which non-compliance might have a material effect on the financial statements. We evaluated management's incentives and opportunities for fraudulent manipulation of the financial statements (including the risk of override of controls), and determined that the principal risks were related to the posting of inappropriate journal entries to manipulate financial results and management bias in accounting estimates. Audit procedures performed by the engagement team included:

- Held discussions with management, including consideration of known or suspected instances of non-compliance with laws and regulations and/or fraud;
- Evaluated the design effectiveness of management's control activities designed to prevent and detect irregularities of management's controls to prevent and detect irregularities;
- Reviewed meeting minutes of the board of directors for consideration of known or suspected instances of non-compliance with laws and regulations and/or fraud;
- Challenged assumptions and judgements made by management in determining their significant accounting estimates and material judgements, in particular in relation to the valuation of the warranty and product recalls provision, estimation of the useful lives of property, plant and equipment and the valuation of the defined benefit pension obligation;
- Evaluated whether there was evidence of management bias that presented a risk of material misstatement due to fraud and assessed the rationale for significant contracts and transactions entered into;
- Identified and tested journal entries based on our risk assessment;
- Reviewed the disclosures in the Annual Report and Financial Statements against the specific legal requirements; and
- Incorporated elements of unpredictablity into our audit procedures

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF FORD MOTOR COMPANY LIMITED *(continued)*

Auditors' responsibilities for the audit of the financial statements (continued)

There are inherent limitations in the audit procedures described above. We are less likely to become aware of instances of non-compliance with laws and regulations that are not closely related to events and transactions reflected in the financial statements. Also, the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditors' report.

Use of this report

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

Other required reporting

Companies Act 2006 exception reporting

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- we have not obtained all the information and explanations we require for our audit; or
- adequate accounting records have not been kept by the company, or returns adequate for our audit have not been received from branches not visited by us; or
- certain disclosures of directors' remuneration specified by law are not made; or
- the financial statements are not in agreement with the accounting records or returns.

We have no exceptions to report arising from this responsibility.

James Cadzow

James Cadzow (Senior Statutory Auditor)
for and on behalf of PricewaterhouseCoopers LLP
Chartered Accountants and Statutory Auditors
Watford

25 September 2024

INCOME STATEMENT
(in millions)

	Note	For the years ended December 31, 2023	2022
Revenue	5	£ 13,318	£ 12,029
Cost of sales and other expenses			
Cost of sales	6	(12,636)	(11,322)
Selling, administrative, and other expenses	6	(311)	(410)
Total costs of sales and other expenses		(12,947)	(11,732)
Dividend income		3	-
Interest expense	9	(155)	(68)
Other interest income and finance income, net	9	98	10
Profit before income tax		317	239
Income tax expense	10	(72)	(69)
Net profit		£ 245	£ 170

STATEMENT OF COMPREHENSIVE INCOME
(in millions)

	Note	For the years ended December 31, 2023	2022
Net profit		£ 245	£ 170
Other comprehensive (loss)/income, net of tax			
Items that will not be classified to profit and loss			
Remeasurement of the surplus for the net defined post-employment benefit	27	(600)	(517)
Tax on remeasurement of the surplus for the net defined post-employment benefit	27	146	122
Items that may be reclassified to profit and loss			
Fair value adjustments on cash flow hedging instruments	27	13	175
Tax on fair value adjustments on cash flow hedging instruments	27	(3)	(44)
Total other comprehensive (loss)/income, net of tax		(444)	(264)
Total comprehensive (loss)/income		£ (199)	£ (94)

The accompanying notes are an integral part of the financial statements.

STATEMENT OF FINANCIAL POSITION
(in millions)

	Note	December 31, 2023	December 31, 2022
ASSETS			
Cash and cash equivalents		£ 107	£ 75
Trade and other receivables	11	3,751	3,213
Derivative financial instruments	12	20	19
Inventories	13	868	870
Net investment in operating leases	14	125	106
Total current assets		4,871	4,283
Intangible assets	15	104	15
Property, plant, and equipment	16	1,036	660
Investment property	18	16	16
Derivative financial instruments	12	-	4
Investment in subsidiaries and associates	19	966	876
Pension	20	1,388	1,845
Trade and other receivables	11	1	5
Total non-current assets		3,511	3,421
Total assets		£ 8,382	£ 7,704
LIABILITIES			
Accounts payable	21	£ 2,352	£ 1,738
Derivative financial instruments	12	16	100
Deferred revenue and other liabilities	23	267	207
Provisions	24	713	788
Total current liabilities		3,348	2,833
Derivative financial instruments	12	-	-
Debt	22	1,324	1,301
Deferred revenue and other liabilities	23	505	128
Provisions	24	146	87
Deferred income taxes	10	292	310
Total non-current liabilities		2,267	1,826
Total liabilities		5,615	4,659
EQUITY			
Called up share capital	26	848	848
Share premium account		36	36
Retained earnings		684	978
Accumulated other comprehensive loss	27	(3)	(13)
Capital contribution reserve		1,199	1,198
Other reserves		3	(2)
Total equity		2,767	3,045
Total liabilities and equity		£ 8,382	£ 7,704

The accompanying notes are an integral part of the financial statements.

The financial statements on pages 46 to 89 were approved by the board of directors and were signed on its behalf by:

Lisa Brankin

L. Brankin
Chair

Andrew Duckers

A. Duckers
Director

Date: 25 September 2024

Registered number: 00235446

STATEMENT OF CHANGES IN EQUITY
(in millions)

	Called Up Share Capital	Share Premium Account	Retained Earnings	Accumulated Other Comprehensive Loss (Note 27)	Capital Contribution Reserve	Other Reserves	Total Equity
Balance at January 1, 2022	£ 848	£ 36	£ 1,303	£ (144)	£ 1,196	£ (8)	£ 3,231
Comprehensive (loss)/income							
Net profit	-	-	170	-	-	-	170
Other comprehensive (loss), net of tax	-	-	-	(264)	-	-	(264)
Reclassifications	-	-	(395)	395	-	-	-
Total comprehensive (loss)/income	-	-	(225)	131	-	-	(94)
Transactions with shareholders							
Share-based compensation	-	-	-	-	-	6	6
Dividend payment	-	-	(100)	-	-	-	(100)
Deferred tax related to items credited directly to equity	-	-	-	-	2	-	2
Total transactions with shareholders	-	-	(100)	-	2	6	(92)
Balance at December 31, 2022	£ 848	£ 36	£ 978	£ (13)	£ 1,198	£ (2)	£ 3,045
Balance at January 1, 2023	£ 848	£ 36	£ 978	£ (13)	£ 1,198	£ (2)	£ 3,045
Comprehensive (loss)/income							
Net profit	-	-	245	-	-	-	245
Other comprehensive (loss), net of tax	-	-	-	(444)	-	-	(444)
Reclassifications	-	-	(454)	454	-	-	-
Total comprehensive (loss)/income	-	-	(209)	10	-	-	(199)
Transactions with shareholders							
Share-based compensation	-	-	-	-	-	5	5
Dividend payment	-	-	(85)	-	-	-	(85)
Deferred tax related to items credited directly to equity	-	-	-	-	1	-	1
Total transactions with shareholders	-	-	(85)	-	1	5	(79)
Balance at December 31, 2023	£ 848	£ 36	£ 684	£ (3)	£ 1,199	£ 3	£ 2,767

The accompanying notes are an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

Table of Contents

NOTE 1. BACKGROUND AND BASIS OF PREPARATION

Background

The principal activities in which the Company is currently engaged are the manufacture of low emission diesel engines; and the distribution and sale of motor vehicles and automotive components and associated customer after sales support.

The Company is a private company limited by shares, incorporated and domiciled in the United Kingdom. Registered office: Arterial Road, Laindon, Essex, England, SS15 6EE.

Going Concern

The directors have considered the financial position of the Company as at 31 December 2023 (net current assets £1,523m, net assets of £2,767m); the trading arrangements of the Company within the Ford group; and the projected cash flows and financial performance of the Ford group within Europe and globally for the 12 months from the date of approval of these financial statements. The directors also have taken action to ensure that appropriate cash resources are available to fund the Company's operations. Therefore the directors consider, after making appropriate enquiries that the Company has adequate resources to continue in operational existence for the foreseeable future. For this reason they continue to adopt the going concern basis in preparing the financial statements.

Basis of Preparation

Statement of Compliance

The financial statements of the Company have been prepared in accordance with Financial Reporting Standard 101, 'Reduced Disclosure Framework' (FRS 101). The financial statements have been prepared under the historical cost convention, as modified by the revaluation of derivative financial assets, pension surplus and financial liabilities measured at fair value through profit or loss, and in accordance with the Companies Act 2006.

The preparation of financial statements in conformity with FRS 101 requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

The Company is itself a subsidiary company of Ford Motor Company, a company incorporated in Delaware, USA, and is exempt from the requirement to prepare group financial statements by virtue of Section 401 of the Companies Act 2006. Copies of the ultimate holding company's financial statements can be obtained from the address outlined in Note 33.

The principal accounting policies applied in the preparation of the financial statements of the Company are set out in Note 2. These policies have been applied consistently to all years presented, unless otherwise stated.

NOTE 1. BACKGROUND AND BASIS OF PREPARATION *(continued)*

Basis of Preparation *(continued)*

Presentation

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the Company operates ('the functional currency'). The financial statements are presented in 'Pounds Sterling' (£), which is also the Company's functional currency. All financial information has been rounded to the nearest million, except where otherwise indicated.

The statement of financial position differentiates between current and non-current assets and liabilities. Assets and liabilities are classified as current if they mature within one year.

FRS 101

The following exemptions from the requirements of IFRS have been applied in the preparation of these financial statements, in accordance with FRS 101:

- Paragraphs 45(b) and 46 to 52 of IFRS 2, 'Share-based payment' (details of the number and weighted-average exercise prices of share options, and how the fair value of goods or services received was determined).
- IFRS 7, 'Financial Instruments: Disclosures'.
- Paragraphs 91 to 99 of IFRS 13, 'Fair value measurement' (disclosure of valuation techniques and inputs used for fair value measurement of assets and liabilities).
- Paragraph 38 of IAS 1, 'Presentation of financial statements' comparative information requirements in respect of:
  - paragraph 79(a)(iv) of IAS 1;
  - (ii) paragraph 73(e) of IAS 16 Property, plant and equipment;
  - (iii) paragraph 118(e) of IAS 38 Intangible assets (reconciliations between the carrying amount at the beginning and end of the period).
- The following paragraphs of IAS 1, 'Presentation of financial statements':
  - 10(d), (statement of cash flows),
  - 16 (statement of compliance with all IFRS),
  - 38A (requirement for minimum of two primary statements, including cash flow statements),
  - 38B-D (additional comparative information),
  - 111 (cash flow statement information), and
  - 134-136 (capital management disclosures).
- IAS 7, 'Statement of cash flows'.
- Paragraph 30 and 31 of IAS 8 'Accounting policies, changes in accounting estimates and errors' (requirement for the disclosure of information when an entity has not applied a new IFRS that has been issued but is not yet effective).
- Paragraph 17 and 18A of IAS 24, 'Related party disclosures' (key management compensation).
- The requirements in IAS 24, 'Related party disclosures' to disclose related party transactions entered into between two or more members of a group.

NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES

Revenue Recognition

Revenue is generated primarily by sales of vehicles, parts and accessories. Revenue is recorded when obligations under the terms of a contract with our customer are satisfied; generally, this occurs with the transfer of control of our vehicles, parts or accessories. Revenue is measured as the amount of consideration we expect to receive in exchange for transferring goods. When we give our dealers the right to return eligible parts for credit, we reduce the related revenue for expected returns.

Sales and Marketing Incentives

Sales and marketing incentives generally are recognised as revenue reductions in *Revenues.* The incentives generally take the form of cash payments to dealers and dealers' customers. The reduction to revenue is accrued at the later of the date the related vehicle is sold or the date the incentive program is both approved and communicated. We generally estimate these accruals using incentive programs that are approved by the year end which is the date of the statement of financial position and are expected to be effective at the beginning of the subsequent period.

Supplier Price Adjustments

We frequently negotiate price adjustments with our suppliers through a production cycle, even after receiving production materials. These price adjustments relate to changes in design specification or other commercial terms such as economics, productivity, and competitive pricing. We recognised price adjustments when we reach a final agreement with our suppliers. In general, we avoid direct price changes in consideration of future business; however, when these occur, our policy is to defer the financial statement impact of any such price change given explicitly in consideration of future business where guaranteed volumes are specified.

Foreign Currency Translation

Income statement transactions in foreign currency are translated into pounds sterling at rates ruling on the date of the transaction. Monetary assets and liabilities denominated in foreign currency are translated at the rates ruling at the year end date. The effect of this remeasurement process, and the results of our foreign currency hedging activities are reported in *Cost of sales* and *Selling, administrative, and other expenses.*

Trade and Other Payables

Trade payables are obligations to pay for goods and servicesTrade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Trade payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

Trade Receivables

Trade and other receivables consist primarily of receivables from contracts with our customers for the sale of vehicles, parts, and accessories. Trade receivables initially are recorded at the transaction amount and are typically outstanding for less than 30 days. Each reporting period, we evaluate the collectability of the receivables and record an allowance for expected credit losses representing our estimate of the expected losses that result from all possible default events over the expected life of a receivable. Expected credit loss rates are applied to receivables that are grouped based on their number of days past due (aging buckets) to calculate the overall allowance. Default occurs when a receivable is 90 days or more past due. The allowance for expected credit losses is measured using a provision matrix method (simplified approach) based on the number of days a receivable is past due. A receivable is written-off when it is deemed uncollectible and all collection efforts have been exhausted. Additions to the allowance for expected credit losses are made by recording charges to expected credit losses expense reported in *Selling, administrative, and other expenses.*

NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES *(continued)*

Trade Receivables *(continued)*

Ford's exposure to credit risk arising from trade receivables is influenced primarily by the default risk of customer base and the risk associated with the industry and the country in which the customers operate. Our credit policy requires that credit limits be established for each external customer before the first shipment is released. The process of establishing or reaffirming credit limits considers the financial conditions and creditworthiness of the customer based on information such as current and historical financial statements, credit agency reports, and trade references. The credit limits are monitored and reviewed at least annually. Sales exceeding the limits are placed on hold if necessary to limit risk.

The carrying amount of trade receivables represents the maximum credit exposure. Ford may require a mortgage collateral from certain dealers for vehicle sales. In a few markets, we may require bank guarantees for direct sales or service parts for certain trade receivables. Ford does not have trade receivables and contract assets for which no loss allowance is recognized because of collateral.

Income Taxes

Income tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss except to the extent that it relates to a business combination, items recognised directly in equity, or items recognised in other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised for temporary differences that exist between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss; and
- temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future;

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses, tax credits, and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

In determining the amount of current and deferred tax the Company takes into account the impact of uncertain tax positions and whether additional taxes, penalties and late-payment interest may be due. The Company believes that its accruals for tax liabilities are adequate for all open tax years based on its assessment of many factors, including interpretations of tax law and prior experience. This assessment relies on estimates and assumptions and may involve a series of judgments about future events. New information may become available that causes the Company to change its judgment regarding the adequacy of existing tax liabilities; such changes to tax liabilities will impact the tax expense in the period that such a determination is made.

NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES *(continued)*

Income Taxes *(continued)*

The company has adopted 'International Tax Reform - Pillar Two Model Rules - Amendments to IAS 12' for the first time in 2023.

Presentation of Sales and Sales-Related Taxes

We collect and remit taxes assessed by different governmental authorities that are both imposed on and concurrent with a revenue-producing transaction between us and our customers. These taxes may include, but are not limited to, sales, value-added, and some excise taxes. We report the collection of these taxes on a net basis (excluded from revenues).

Cash and Cash Equivalents

Included in *Cash and cash equivalents* are highly liquid investments that are readily convertible to known amounts of cash.

Derivative Financial Instruments and Hedge Accounting

In the normal course of business, our operations are exposed to global market risks, including the effect of changes in foreign currency exchange rates, certain commodity prices, and interest rates. To manage these risks, we enter into highly effective derivative contracts:

- Foreign currency exchange contracts, including forwards, that are used to manage foreign exchange exposure;
- Commodity contracts, including forwards, that are used to manage commodity price risk;
- Interest rate contracts, including swaps, that are used to manage the effects of interest rate fluctuations; and
- Cross-currency interest rate swap contracts that are used to manage foreign currency and interest rate exposures on foreign-denominated debt.

Our derivatives are over-the-counter customized derivative transactions and are not exchange-traded. We review our hedging program, derivative positions, and overall risk management strategy on a regular basis.

Derivative Financial Instruments and Hedge Accounting. Derivatives are recorded on the statement of financial position at fair value and presented on a gross basis. Derivative assets and liabilities are reported in *Derivative financial instruments.*

We have elected to apply hedge accounting to certain derivatives. Derivatives that are designated in hedging relationships are evaluated for effectiveness using regression analysis at the time they are designated and throughout the hedge period. The ratio of the quantity of the hedged item and the notional amount of the hedge is always 1 for 1. Some derivatives do not qualify for hedge accounting; for others, we elect not to apply hedge accounting.

Cash Flow Hedges. Our Automotive segment has designated certain forward contracts as cash flow hedges of forecasted transactions with exposure to foreign currency exchange and commodity price risks.

The effective portion of changes in the fair value of cash flow hedges is deferred in *Accumulated other comprehensive income/(loss)* and is recognized in *Cost of sales* when the hedged item affects earnings. The ineffective portion is reported in *Cost of sales* in the period of measurement. Our policy is to de-designate foreign currency exchange cash flow hedges prior to the time forecasted transactions are recognized as assets or liabilities on the statement of financial position and report subsequent changes in fair value through *Cost of sales.* If it becomes probable that the originally-forecasted transaction will not occur, the related amount included in *Accumulated other comprehensive income/(loss)* is reclassified and recognized in earnings.

NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES *(continued)*

Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is determined by methods approximating the first-in first-out ("FIFO") principle, and includes expenditures incurred in acquiring the inventories, production or conversion costs, and other costs incurred in bringing them to their existing location and condition. In the case of finished products and work in progress, cost includes an appropriate share of production overhead based on normal operating capacity.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

Raw Material Arrangements

We may, at times, negotiate prices for and facilitate the purchase of raw materials on behalf of our suppliers. These raw material arrangements, which take place independently of any purchase orders issued to our suppliers, are negotiated at arms' length and do not involve volume guarantees. When we pass the risks and rewards of ownership to our suppliers, including inventory risk, market price risk, and credit risk for the raw material, we record both the cost of the raw material and the income from the subsequent sale to the supplier in cost of sales.

Intangible Assets

Quotas for carbon emissions are capitalised as intangible assets, these are not amortised and are utilised when surrendered to settle carbon emission liabilities. Quotas are initially recognised at fair value and subsequently revalued at each year with the gain or loss being booked to *Selling, administrative, and other expenses* in the income statement.

Costs incurred to develop non-production related software (whether the software is developed internally or by a third party vendor) are capitalised on the basis of the costs incurred to acquire and / or bring them to use.

Non-production related software is amortised primarily using the straight-line method over the estimated useful life of the software. Useful lives range from 3 years for software and 8 years for mainframe and client based software.

Property, Plant and Equipment

Property, plant, and equipment are recorded at cost, net of accumulated depreciation and impairments. We capitalise new assets when we expect to use the asset for more than one year. Routine maintenance and repair costs are expensed when incurred.

We recognise the gain or loss on disposal of an item of property, plant, and equipment within *cost of sales* in our income statement.

Depreciation is recognised in the income statement on a straight-line basis over the estimated useful lives of the property, plant, and equipment, taking into consideration our best estimate of its residual value. We record and depreciate separately each major component of a single asset when the components have significantly different useful lives. We generally depreciate leased assets over the shorter of the lease term and their useful lives.

Property, plant and equipment are depreciated primarily using the straight-line method over the estimated useful life of the asset. Useful lives range from 3 years to 36 years. The estimated useful lives generally are 14.5 years for machinery and equipment, 30 years for land improvements, and 36 years for buildings. Tooling generally is depreciated over the expected life of a product program using a straight-line method. Land is not depreciated as it is treated as having an infinite life and construction in progress is not depreciated until asset comes into use.

NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES *(continued)*

Lease Commitments

Leases are recognised as a right-of-use asset and a corresponding liability at the date in which the leased asset is available for use. The right-of-use assets and lease liabilities are reported in Property, plant, and equipment and Other Financial Liabilities, respectively, on our statement of financial position.

Investment Properties

Investment properties are accounted for in accordance with IAS 40 where the cost model is followed. Useful economic lives are 30 years for land improvements, and 36 years for buildings.

Investments are impaired only if there is objective evidence of impairment as a result of one or more events that occurred

Government Incentives

Government grants that relate to specific capital expenditure are credited to deferred income when received and are credited to the income statement over the related useful economic life of the assets acquired with the grant. The portion of government grants which have not been credited to the income statement are included within deferred revenue and other liabilities. Other government grants are credited to the income statement when received.

Pension/Employee Benefits

We provide short-term and long-term benefits to our employees. Short-term employee benefit obligations generally take on the form of salaries and bonuses and are measured on an undiscounted basis. We generally expense short-term benefits in the period the related benefit is provided. Long-term employee benefit obligations generally take on the form of defined benefit pension obligations.

Defined benefit pension obligations are measured based on the present value of projected future benefit payments for all participants for services rendered to-date. The measurement of projected future benefits is dependent on the provisions of each specific plan, demographics of the group covered by the plan, and other key measurement assumptions. For plans that provide benefits dependent on salary assumptions, we include a projection of salary growth in our measurements. No assumption is made regarding any potential changes to benefit provisions beyond those to which we are presently committed (e.g., in existing labour contracts).

The net periodic benefit costs associated with the Company's defined benefit pension plans are determined using assumptions regarding the benefit obligation and the plan assets (where applicable) as of the beginning of each year. Net periodic benefit costs are recorded in Cost of sales and Selling, administrative, and other expenses. The expected return on pension scheme assets, net of interest costs on pension liabilities are included within Other interest income and finance income, net. The funded status of the benefit plans, which represents the difference between the benefit obligation and fair value of plan assets, is calculated on a plan-by-plan basis. The benefit obligation and related funded status are determined using assumptions as of the end of each year. The impact of plan amendments and actuarial gains and losses are recorded in *Accumulated other comprehensive loss*, and then reclassified to retained eamings at the end of the year.

Curtailment gains or losses are recorded when an event occurs that significantly reduces the number of employees covered by the plan. We record a curtailment gain when the employees who are entitled to the benefits terminate their employment; we record a curtailment loss when it becomes probable a loss will occur.

NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES *(continued)*

Pension/Employee Benefits *(continued)*

Ford shall recognise a settlement gain or loss in the period in which a transaction that permits derecognition of the net defined benefit liability. The gain or loss on a settlement shall comprise: (a) the present value of the obligation being settled, as determined on the date of the settlement; and (b) the settlement price, including any assets transferred and/or payments made.

Ford shall remeasure the plan as of the date of the action if there is a significant curtailment or settlement.

Our policy for funded pension plans is to contribute annually, at a minimum, amounts required by applicable laws and regulations. We may make contributions beyond those legally required.

When the benefits of a plan are improved, the portion of the increased benefit relating to past service by employees is recognised in profit or loss immediately. To the extent that the benefits vest immediately, the expense is recognised immediately in profit or loss.

Termination and similar benefits are recognised as an expense when management is committed demonstrably, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense when we have made an offer and the employee accepts the offer, and the number of acceptances can be estimated reliably. If benefits are payable more than 12 months after the reporting date, then they are discounted to their present value.

Provisions

A *provision* is recognised if, as a result of a past event, we have a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. We record provisions for warranty, dealer and customer claims, environmental remediation, legal and similar matters.

Due to the inherent uncertainty of the amount and timing of expected payments, we measure our provisions using patterned estimation models that take into consideration historical experience with similar matters, recent facts and circumstances, as well as assumptions about current trends. Each measurement reflects our best assumptions at each reporting period but the ultimate outcome of any matter could result in an amount different than the amount we have accrued and/or disclosed.

Provisions expected to be paid in a period of greater than one year are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as interest expense in *Other interest income and finance income, net.*

Warranties

We accrue obligations for warranty costs and field service actions (i.e. safety recalls, emission recalls, and other product campaigns) at the time of sale. We establish estimates for warranty and field service action obligations using a patterned estimation model using historical information regarding the nature, frequency, and average cost of claims for each vehicle line by model year. We re-evaluate the adequacy of our accruals on a regular basis and any revisions to our estimated obligation for warranties and field service actions are reported as *Changes in accrual related to pre-existing warranties.*

NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (*continued*)

Environmental Remediation

We accrue for costs related to legal obligations to perform certain activities in connection with the retirement, abandonment, or disposal of our assets for which the fair value can be reasonably estimated. These conditional asset retirement obligations relate to the estimated costs for asbestos abatement and the removal of other regulated building materials.

Dealer and Customer Claims

We accrue for dealer and customer claims related to incentive programs that are approved as of the reporting date and are expected to be effective at the beginning of the subsequent period.

Investments in Subsidiaries and Associated Undertakings

Investments in subsidiaries and associated undertakings are stated at cost less provisions for impairment. An impairment loss is recognised following the identification of an impairment indicator if the recoverable amount of an investment is lower than its carrying amount.

Debt

Debt is initially recognised at fair value, net of any transaction costs incurred. Debt is subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in the income statement over the term of the debt using the effective interest method. Transaction costs incurred are amortised over the term of the debt.

Litigation and Claims

Litigation and claims are accrued when losses are deemed probable and reasonably estimable. In evaluating matters for accrual and disclosure purposes, we take into consideration factors such as our historical experience with matters of a similar nature, the specific facts and circumstances asserted, the likelihood of our prevailing, and the severity of any potential loss. We re-evaluate and update our provisions and accruals as matters progress over time.

Share-Based Payments

Share-based payment arrangements include awards that will be settled by the delivery of shares and awards that will be settled by the delivery of cash. Awards that will be settled by the delivery of shares are measured at fair value on the grant date. Awards that will be settled in cash are recognised as a liability and are measured at fair value at the end of each reporting period and at settlement. The fair value of the awards that employees are expected to earn is recognised as compensation cost over the vesting period. Changes in the number of awards that employees are expected to earn are recognised in profit or loss over the vesting period.

We measure the fair value of stock options using an option-pricing model and the fair value of restricted stock units using the closing market price of our Common Stock of the ultimate holding Company on the grant date.

NOTE 3. CRITICAL ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of financial statements in conformity with FRS 101 requires management to make judgments, estimates, and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from those estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

We consider an accounting estimate to be significant if: 1) the accounting estimate requires us to make assumptions about matters that were highly uncertain at the time the accounting estimate was made, and 2) changes in the estimate that are reasonably likely to occur from period to period, or use of different estimates that we reasonably could have used in the current period, would have a material impact on our financial condition or results of operations.

There are other items within our financial statements that require estimation, but are not deemed critical as defined above. Changes in estimates used in these and other items could have a material impact on our financial statements.

Warranty and Product Recalls

Nature of Estimates Required. We create a provision for the estimated cost of basic warranty coverage for each vehicle at the time of sale. We establish estimates using historical information regarding the nature, frequency, and average cost of claims for each vehicle line by model year. Where little or no claims experience exists, we rely on historical averages. See Note 24 for information regarding costs for warranty actions. Separately, we also accrue at the time of sale for potential product recalls based on historical experience. Product recalls are distinguishable from warranty coverage in that the actions may extend beyond basic warranty coverage periods.

Assumptions and Approach Used. We re-evaluate our estimate of warranty obligations on a regular basis. Experience has shown that initial data for any given model year may be volatile; therefore, our process relies on long-term historical averages until sufficient data are available. As actual experience becomes available, we use the data to modify the historical averages in order to ensure that the estimate is within the range of likely outcomes. We then compare the resulting accruals with present spending rates to ensure that the balances are adequate to meet expected future obligations. Based on these data, we revise our estimates as necessary. Due to the uncertainty and potential volatility of these factors, changes in our assumptions could materially affect our financial condition and results of operations.

Pensions

Nature of Estimates Required. The estimation of our defined benefit pension plan obligations and expenses requires that we make use of estimates of the present value of projected future payments to all participants, taking into consideration the likelihood of potential future events such as demographic experience. Plan obligations and expenses are based on existing retirement plan provisions. No assumption is made regarding any potential future changes to benefit provisions beyond those to which we are presently committed (e.g., in existing labour contracts).

NOTE 3. CRITICAL ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS *(continued)*

Pensions *(continued)*

Assumptions and Approach Used. The assumptions used in developing the required estimates include the following key factors:

- Discount rates. Our discount rate assumption is based primarily on the results of a cash flow matching analysis, which matches the future cash outflows for each major plan to a yield curve based on high-quality bonds specific to the country of the plan. Benefit payments are discounted at the rates on the curve and a single discount rate specific to the plan is determined.
- Salary growth. Our salary growth assumption reflects our long-term actual experience, outlook, and assumed inflation.
- Inflation. Our inflation assumption is based on an evaluation of external market indicators, including real gross domestic product growth and central bank inflation targets.
- Expected contributions. Our expected amount and timing of contributions is based on an assessment of minimum requirements, cash availability, and other considerations (e.g., funded status, avoidance of regulatory premiums and levies, and tax efficiency).
- Retirement rates. Retirement rates are developed to reflect actual and projected plan experience.
- Mortality rates. Mortality rates are developed to reflect actual and projected plan experience.

Assumptions are set at each year end and are generally not changed unless there is a major plan event such as a significant curtailment or settlement that would trigger a plan remeasurement.

The effects of actual results differing from our assumptions and the effects of changing assumptions are recognised in *Accumulated other comprehensive income/(loss)* on our statement of financial position.

See Note 20 for more information regarding pension costs and assumptions.

The 31 December 2023 pension defined benefit obligation and 2024 expense are affected by year-end 2023 assumptions. These sensitivities may be asymmetric and are specific to the time periods noted. The effects of changes in the factors which generally have the largest impact on year-end funded status and pension expense are discussed below.

		Increase/(Decrease)	
Assumption	**Percentage Point Change**	**Pension Surplus at 31 December 2023 £m**	**2024 Expense £m**
Discount rate	+0.5 pt.	(491)	(44.0)
	- 0.5 pt.	568	38.4
Actual Return on assets during 2023	+0.5 pt.	(49)	(2.2)
	- 0.5 pt.	49	2.2
Rate of increase in salaries	+0.5 pt.	90	5.5
	- 0.5 pt.	(87)	(11.7)
Inflation	+0.5 pt.	348	21.2
	- 0.5 pt.	(330)	(26.2)

The foregoing indicates that changes in the discount rate and inflation can have a significant effect on the funded status of our pension plans, shareholders' funds and expense. We cannot predict these changes in discount rates or inflation and, therefore, cannot reasonably estimate whether adjustments to our shareholders' equity in subsequent years will be significant.

NOTE 3. CRITICAL ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS *(continued)*

Useful Lives of Property, Plant and Equipment and Intangible Assets

Nature of Estimates Required. The estimation of the useful lives of items of property, plant and equipment and intangible assets is a matter of judgment based on the experience with similar assets. The future economic benefits embodied in the assets are consumed principally through use. However, other factors, such as technical or commercial obsolescence and wear and tear, often result in the diminution of the economic benefits embodied in the assets.

Assumptions and Approach Used. Management assesses the remaining useful lives in accordance with the current technical conditions of the assets and estimated period during which the assets are expected to earn benefits for the Company. The following primary factors are considered: (a) expected usage of the assets; (b) expected physical wear and tear, which depends on operational factors and maintenance programme; and (c) technical or commercial obsolescence arising from changes in market conditions.

NOTE 4. NEW STANDARDS AND INTERPRETATIONS

Adoption of New Accounting Standards

We adopted the following amendments during 2023, which did not have a material impact on our financial statements or financial statement disclosures:

Insurance Contracts (effective January 1, 2023). The new standard addresses the differences in accounting treatment across jurisdictions and insurance products, which made it difficult for investors and analysts to understand and compare insurers' results. The majority of the change relates to long duration contracts.

Amendments	Effective Date
Initial Application of IFRS 17 and IFRS 9 (Financial Instruments) – Comparative Information (Amendment to IFRS 17 and IFRS 9)	January 1, 2023
Classification of Liabilities as Current or Non-Current (Amendment to IAS 1)	January 1, 2023
Definition of Accounting Estimates (Amendment to IAS 8)	January 1, 2023
Disclosure Initiative – Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2)	January 1, 2023
Deferred Tax Related to Assets and Liabilities Arising from a Single Transaction (Amendment to IAS12)	January 1, 2023
International Tax Reform - Pillar Two Model Rules (Amendments to IAS 12)	January 1, 2023

Accounting Standards Issued But Not Yet Adopted

The following represent the standards and amendments that are applicable to Ford, none of which are expected to have a material impact to our financial statements or financial statement disclosures:

Amendments	Effective Date
Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)	January 1, 2024
Non-current liabilities with Covenants (Amendments to IAS 1 and IFRS Practice Statement 2)	January 1, 2024, with retrospective application
New disclosure requirements for supplier finance arrangements (Amendments to IAS 7 & IFRS 7)	January 1, 2024

NOTE 5. REVENUE

Amounts included in *Revenue* on our income statement were as follows (in millions):

	For the years ended December 31,	
	2023	2022
Sales of new vehicles, parts and accessories	£ 13,085	£ 11,882
Sales of vehicles previously leased under operating leases	151	103
Vehicle operating lease revenue	10	7
Other	72	37
Total revenue	£ 13,318	£ 12,029

Total Company *Revenue* split geographically for the years ended December 31 were as follows (in millions):

	For the years ended December 31,	
	2023	2022
United Kingdom	£ 5,865	£ 5,691
Germany	1,379	1,186
Spain	521	416
France	1,104	704
Italy	866	555
Other EU	2,367	1,849
Other Europe (non-EU as at 31 December)	1,145	1,032
Rest of World	71	596
Total revenue	£ 13,318	£ 12,029

Revenue is recognised when obligations under the terms of a contract with our customer are satisfied; generally this occurs with the transfer of control of our vehicles, parts, accessories, or services. Revenue is measured as the amount of consideration we expect to receive in exchange for transferring goods or providing services. The transaction price is allocated to each performance obligation based on the relative standalone selling price at contract inception for each performance obligation. Sales, value add, and other taxes we collect concurrent with revenue-producing activities are excluded from revenue. The expected costs associated with our base warranties and field service actions continue to be recognised as expense when the products are sold (see Note 24). We recognise revenue for vehicle service contracts that extend mechanical and maintenance coverages beyond our base warranties over the life of the contract. We do not have any material significant payment terms as payment is received at or shortly after the point of sale.

Depending on the terms of the arrangement, we may also defer the recognition of a portion of the consideration received because we have to satisfy a future obligation in relation to extended service contracts. We use an observable price to determine the stand-alone selling price for separate performance obligations or a cost plus margin approach when one is not available.

We sell vehicles to daily rental companies and guarantee that we will pay them the difference between an agreed amount and the value they are able to realise upon resale. At the time of transfer of vehicles to the daily rental companies, we record the probable amount we will pay under the guarantee to Other liabilities and deferred revenue

NOTE 5. REVENUE *(continued)*

Vehicles, Parts, and Accessories. For the majority of vehicles, parts, and accessories, we transfer control and recognise a sale when we ship the product from our manufacturing facility to our customer (dealers and distributors). We receive cash equal to the invoice price for most vehicle sales at the time of wholesale. When the vehicle sale is financed by FCE, the dealer pays FCE when it sells the vehicle to the retail customer. Payment terms on part sales to dealers, distributors, and retailers range from 30 to 120 days. The amount of consideration we receive and revenue we recognise varies with changes in marketing incentives and returns we offer to our customers and their customers. When we give our dealers the right to return eligible parts and accessories, we estimate the expected returns based on an analysis of historical experience. We adjust our estimate of revenue at the earlier of when the most likely amount of consideration we expect to receive changes or when the consideration becomes fixed.

Used Vehicles. We sell used vehicles both at auction and/or through our dealers. Proceeds from the sale of these vehicles are recognised in revenues upon transfer of control of the vehicle to the customer and the related vehicle carrying value is recognised in Cost of sales.

Extended Service Contracts. We sell separately priced service contracts that extend mechanical and maintenance coverages beyond our base warranty agreements to vehicle owners. The separately priced service contracts range from 12 to 120 months. We receive payment at the inception of the contract and recognise revenue over the term of the agreement in proportion to the costs expected to be incurred in satisfying the obligations under the contract. At January 1, 2023, £48 million of unearned revenue associated with outstanding contracts was reported in Other Liabilities and deferred revenue, £17 million of this was recognised as revenue during the year ended December 31, 2023. At December 31, 2023, the unearned amount was £63 million. We expect to recognise approximately £24 million of the unearned amount in 2024, £17 million in 2025, and £22 million thereafter.

Other Revenue. Other revenue consists primarily of net commissions received for serving as the agent in facilitating the sale of a third party's products or services to our customers. We transfer control and recognise the net commission when the products are delivered to our customer (dealers and distributors).

Leasing Income. We sell vehicles to daily rental companies with an obligation to repurchase the vehicles for a guaranteed amount, exercisable at the option of the customer. The transactions are accounted for as operating leases. Upon the transfer of vehicles to the daily rental companies, we record proceeds received in Other liabilities and deferred revenue. The difference between the proceeds received and the guaranteed repurchase amount is recorded in revenues over the term of the lease using a straight-line method. The cost of the vehicle is recorded in Net investment in operating leases on our statement of financial position and the difference between the cost of the vehicle and the estimated auction value is depreciated in Cost of sales over the term of the lease.

NOTE 6. TOTAL COST OF SALES AND SELLING, ADMINISTRATIVE AND OTHER EXPENSES

Amounts included in *Cost of sales and Selling, administrative, and other expenses* on our income statement were as follows (in millions):

	For the years ended December 31,	
	2023	**2022**
Manufacturing materials, labour and overhead	£ 1,222	£ 1,085
Purchase of new vehicles, parts and accessories	10,803	9,824
Depreciation and amortisation	130	103
Warranty	123	133
Advertising	120	102
Other	549	485
Total cost of sales and selling, administrative, and other expenses	£ 12,947	£ 11,732

NOTE 7. PROFIT

Profit is arrived at after charging (in millions):

	For the years ended December 31,			
	2023		2022	
Total depreciation on property, plant and equipment and investment property				
Land, land improvements, and buildings	£	8	£	10
Machinery, equipment and other		82		51
Special tooling		35		38
Loss on disposal of property, plant and equipment		2		9
Inventory recognised as an expense		10,721		9,743
Operating lease rentals		-		-

Prior year inventory recognised as an expense was restated by £534m for engine sales to Ford Otosan that were subsequently bought back for sale in the UK in assembled commercial vehicles.

Auditors' remuneration for the statutory audit of the Company's annual financial statements was £573,800 (2022: £535,875). Remuneration for provision of other services was split as follows; tax advisory was £nil (2022: £nil) and other non-audit related services was £3,200 (2022: £31,500).

NOTE 8. NET FOREIGN CURRENCY EXCHANGE (GAINS)/LOSSES

Net foreign currency exchange (gains)/losses recognised on our income statement were as follows (in millions):

	For the years ended December 31,			
	2023		2022	
Cost of sales	£	(2)	£	126
Net foreign currency exchange (gains)/losses	£	(2)	£	126

NOTE 9. INTEREST EXPENSE AND OTHER INTEREST INCOME AND FINANCE INCOME, NET

Amounts included in *Interest expense* and *Other interest income and finance income, net* on our income statement were as follows (in millions):

	For the years ended December 31,			
	2023		2022	
Interest expense - debt	£	115	£	59
Interest expense - group undertakings		27		4
Interest expense - other		13		5
		155		68
Interest income - group undertakings		86		10
Interest income - other		12		-
	£	98	£	10

NOTE 10. INCOME TAXES

The *Income tax expense/(benefit)* on our income statement was estimated as follows (in millions):

	For the years ended December 31,	
	2023	**2022**
Current		
UK corporation tax		
Current tax expense / (benefit) on profits for the year	£ -	£ -
Changes in estimates related to prior years	-	1
Restitution interest tax – reversal of accrual for reimbursement to affiliate	(10)	-
Group relief		
Current year benefit	(43)	(24)
Changes in estimates related to prior years	-	16
Total current tax benefit	(53)	(7)
Deferred		
Current year temporary differences	128	99
Changes in estimates related to prior years	(3)	(23)
Impact of rate change	-	-
Total deferred tax expense	125	76
Income tax expense / (benefit) reported in the income statement	£ 72	£ 69

Tax expense for the year is lower (2022: higher) than the standard rate of corporation tax in the UK for the year ended 31 December 2023 of 23.50% (2022: 19.00%). The differences are explained below (in millions):

	2023	2022
Profit on ordinary activities before income taxes	£ 317	£ 239
Tax calculated at UK rate of corporation tax of 23.50% (2022: 19.00%)	74	45
Tax effects of:		
Expenses / income not taxable / (deductible) for tax purposes	2	6
Tax rate differential	8	24
Impact of rate change on deferred tax	-	-
Change in estimate related to prior years	1	17
Prior year adjustments to deferred tax	(3)	(23)
Restitution tax provision	(10)	-
Income tax expense / (benefit)	£ 72	£ 69
Effective tax rate	22.7%	29.1%

The deferred tax amounts shown on the statement of financial position at December 31 were as follows (in millions):

	2023	2022
Deferred tax assets	£ 72	£ 158
Deferred tax liabilities	(364)	(468)
Net deferred tax (liabilities) / assets	£ (292)	£ (310)

NOTE 10. INCOME TAXES *(continued)*

Deferred taxes by major category at December 31 were as follows (in millions):

		2023		2022
Deferred tax assets				
Decelerated capital allowances	£	66	£	148
Provisions		6		8
Revaluation of cash flow hedges		-		2
Total deferred tax assets		72		158
Deferred tax liabilities				
Retirement surplus		(343)		(446)
Plant, property and equipment		(3)		(4)
Chargeable gains rolled over		(18)		(18)
Total deferred tax liabilities		(364)		(468)
Net deferred tax (liabilities) / assets	£	(292)	£	(310)

There are unremitted earnings of £511.3m (2022: £374.3m) relating to the Company's direct subsidiaries. No deferred tax has been provided on this amount as distributions to the Company would be exempt from UK taxation. Disposals of the subsidiaries would also be exempt from UK taxation under the Substantial Shareholdings Exemption.

No deferred tax asset has been recognised for connected party capital losses of £170.2m (2022: £170.2m) on the basis that it is not probable that these will be utilised in the future.

At December 31, 2023, Ford Motor Company Limited had pre-tax operating loss carry-forwards for income tax purposes in the amount of £nil (2022: £nil).

The current and non-current portions of deferred income taxes expected to be recovered or settled within and after one year at December 31 were as follows (in millions):

		2023		2022
Deferred tax assets				
Current portion	£	21	£	39
Non-current portion		51		119
Total deferred tax assets		72		158
Deferred tax liabilities				
Current portion		17		38
Non-current portion		(381)		(506)
Total deferred tax liabilities		(364)		(468)
Net deferred tax (liabilities) / assets	£	(292)	£	(310)

The company offsets tax assets and liabilities if and only if it has a legally enforceable right to set off current tax assets and liabilities and the deferred tax assets and liabilities relate to income taxes levied by the same tax authority.

The company is within the scope of the OECD Pillar Two rules. Pillar Two legislation has been enacted to implement a domestic top-up tax in the UK for accounting periods commencing on or after 31 December 2023. As the legislation did not apply at the reporting date, the company has no top-up tax exposure. The company has applied the exception to recognising and disclosing information about deferred taxes related to Pillar Two income taxes as provided in the amendements to IAS 12 issued in May 2023.

NOTE 10. INCOME TAXES *(continued)*

In accordance with UK tax legislation, the company is liable to pay a top-up tax from 2024 onwards for the difference between their GloBE effective tax rate in the UK and the minimum 15% rate. For 2023, the effective tax rate in the UK (calculated in accordance with Paragraph 86 of IAS 12) is:

	£'m
Tax expense for the year ending 31 December 2023	72
Accounting profit for the year ending 31 December 2023	317
2023 average effective tax rate	22.7%

The company is in the process of assessing its exposure to the Pillar Two legislation when it comes into effect. It is currently expected that the company, together with other affiliated UK companies, will pass the Safe Harbour rules provided for within the legislation and not be required to calculate whether a top-up tax is required or not. However, although the average rate calculated under IAS 12 for 2023 is 22.7% and so above the 15% minimum rate, the company might still be liable to a top-up tax if it fails the Safe Harbour rules based on 2024 results and is then required to make the specific adjustments envisaged in the Pillar Two legislation which give rise to different effective rates compared to those calculated in accordance with Paragraph 86 of IAS 12.

Due to the complexities in applying the legislation and calculating GloBE income, the quantitative impact of the enacted legislation for 2024 is not year reasonably estimable. The entity is currently engaged with tax specialists to assist it in applying the legislation.

NOTE 11. TRADE AND OTHER RECEIVABLES

Trade and other receivables are analysed as follows (in millions):

	As at December 31,	
	2023	2022
Amounts falling due within one year		
Trade receivables	£ 91	£ 81
Amounts owed by group undertakings	3,456	3,011
Amounts owed by associated undertakings	27	26
Other receivables	109	53
Prepayments and accrued income	68	42
	3,751	3,213
Amounts falling due after more than one year		
Other receivables	1	5
	1	5
Total	£ 3,752	£ 3,218

Amounts owed by group undertakings are unsecured, bear interest at a variable rate which is capitalised monthly and are repayable on demand.

NOTE 12. DERIVATIVE FINANCIAL INSTRUMENTS AND HEDGING ACTIVITIES

Income Effect of Derivative Financial Instruments

The (losses)/gains, by hedge designation, recorded in *Cost of sales* were as follows (in millions):

	For the years ended December 31,	
	2023	2022
Cash flow hedges		
Reclassified from AOCI to income	£ (49)	£ (130)
Derivatives not designated as hedging instruments		
Foreign currency exchange contracts	74	84
Total	£ 25	£ (46)

Statement of Financial Position Effect of Derivative Financial Instruments

The notional amount and estimated fair value of our derivative financial instruments were as follows (in millions).

	December 31, 2023			December 31, 2022		
	Notional	Fair Value of Assets	Fair Value of Liabilities	Notional	Fair Value of Assets	Fair Value of Liabilities
Cash flow hedges						
Foreign currency exchange	£ 1,510	£ 4	£ (5)	£ 803	£ 12	£ (9)
Derivatives not designated as hedging instruments						
Foreign currency exchange contracts	(1,957)	16	(11)	(2,361)	11	(91)
Total derivative value, gross	£ (447)	20	(16)	£ (1,558)	23	(100)
Current portion		£ 20	£ (16)		£ 19	£ (100)
Non-current portion		-	-		4	-
Total		£ 20	£ (16)		£ 23	£ (100)

Notional amounts are presented on a gross basis. The notional amounts of the derivative financial instruments do not represent amounts exchanged by the parties and, therefore, are not a direct measure of our exposure to the financial risks described above. We enter into master agreements with counterparties that may allow for netting of exposures in the event of default or termination of the counterparty agreement due to breach of contract.

NOTE 13. INVENTORIES

Inventories on our statement of financial position were as follows (in millions):

	As at December 31,			
	2023		2022	
Raw materials and supplies	£	126	£	137
Work-in-process		191		173
Finished products and vehicles previously subject to operating lease		551		560
Total	£	868	£	870

The write-down of *Inventories* to net realisable value as an expense was £0.2 million and £0.1 million for the years ended December 31, 2023 and 2022, respectively.

Included in raw materials and supplies and finished products is £161.0 million (2022: £156.0 million) relating to assets which the Company is committed to buy-back although legal title has passed to a third party.

NOTE 14. NET INVESTMENT IN OPERATING LEASES

Net investment in operating leases consists primarily of lease contracts for vehicles with employees, daily rental companies and fleet customers, with terms of 6-12 months or less. Payment extensions may be requested by the customer and are generally limited to a maximum of six months over the term of the lease. Term extensions may also be requested by the customer. Term and payment extensions in total generally do not exceed twelve months. A lease can be terminated at any time by satisfying the obligations under the lease agreement. Early termination programs may be occasionally offered to eligible lessees. At the end of the lease, the customer returns the vehicle or may have the option to buy the leased vehicle. In the case of a contract default and repossession, the customer typically remains liable for any deficiency between net auction proceeds and the defaulted contract obligations, including any repossession-related expenses.

Revenue from rental payments received on operating leases is recognised on a straight-line basis over the term of the lease. The accrual of revenue on operating leases is discontinued at the time an account is determined to be uncollectible.

Depreciation expense on vehicles subject to operating leases is recognised on a straight-line basis in an amount necessary to reduce the leased vehicle value to its estimated residual value at the end of the lease term. Our policy is to promptly sell returned off-lease vehicles. We evaluate our depreciation for leased vehicles on a regular basis taking into consideration various assumptions, such as expected residual values at lease termination and the estimated number of vehicles that will be returned to us. Adjustments to depreciation expense reflecting revised estimates of expected residual values at the end of the lease terms are recorded prospectively on a straight-line basis. Upon disposition of the vehicle, the difference between net book value and actual proceeds is recorded as an adjustment to Depreciation on vehicles subject to operating leases.

Accumulated depreciation reduces the value of the vehicles from their initial production value to their expected residual value at the end of the lease, with the associated depreciation expense recognised on a straight-line basis over the term of the lease. At the time of purchase, we establish the expected residual value for the vehicle based on recent auction values, return volumes for our leased vehicles, industry-wide used vehicle prices, marketing incentive plans, and vehicle quality data. We monitor residual values each month and review the accuracy of our accumulated depreciation on a quarterly basis.

NOTE 14. NET INVESTMENT IN OPERATING LEASES (continued)

Net investment in operating leases at December 31 was as follows (in millions):

	2023	2022
Vehicles	£ 125	£ 106

Operating leases are generally pre-payable without penalty and may cause actual paid amounts due to differ from amounts contractually due.

NOTE 15. INTANGIBLE ASSETS

Changes in *Intangible assets* balances on our statement of financial position were as follows (in millions):

	For the year ended December 31, 2023		
	Quotas	Software	Total
Cost			
Beginning balance 1 January 2023	£ 2	£ 62	£ 64
Additions	75	19	94
Disposals	-	(6)	(6)
Ending balance 31 December 2023	77	75	152
Accumulated amortisation			
Beginning balance 1 January 2023	-	(49)	(49)
Amortisation	-	(5)	(5)
Disposals	-	6	6
Ending balance 31 December 2023	-	(48)	(48)
Net Book Value 31 December 2023	£ 77	£ 27	£ 104
Net Book Value 31 December 2022	£ 2	£ 13	£ 15

NOTE 16. PROPERTY, PLANT AND EQUIPMENT

Changes in *property, plant and equipment* balances on our statement of financial position were as follows (in millions):

	For the year ended December 31, 2023				
	Land, Land Improvements, and Buildings	Machinery, Equipment, and Other	Special Tooling	Construction in Progress	Total
Cost					
Beginning balance 1 January 2023	£ 337	£ 834	£ 354	£ 19	£ 1,544
Additions	6	447	77	(12)	518
Disposals	(2)	(51)	(62)	-	(115)
Ending balance 31 December 2023	341	1,230	369	7	1,947
Accumulated depreciation					
Beginning balance 1 January 2023	(142)	(518)	(224)	-	(884)
Depreciation	(8)	(82)	(35)	-	(125)
Disposals	1	35	62	-	98
Ending balance 31 December 2023	(149)	(565)	(197)	-	(911)
Net Book Value 31 December 2023	£ 192	£ 665	£ 172	£ 7	£ 1,036
Net Book Value 31 December 2022	£ 195	£ 316	£ 130	£ 19	£ 660

The net book value of land, land improvements and buildings comprises freehold £167m (2022: £167m). £41m (2022: £41m) relates to land which is not depreciated.

The net book value of land, land improvements and buildings includes £25m (2022: £28m) for right of use assets.

The net book value of machinery, equipment and other includes £415m (2022: £35m) for right of use assets.

NOTE 17. LEASE COMMITMENTS

We lease land, offices, distribution centres and equipment under agreements with contractual periods ranging from less than one year to 10 years. Many of our leases contain one or more options to extend. We include options that we are reasonably certain to exercise in our evaluation of the lease term after considering all relevant economic and financial factors. These are used to maximise operational flexibility in terms of managing the assets used in the Company's operations. The majority of extension and termination options held are exercisable only by the Company and not by the respective lessor.

For the majority of our leases commencing after January 1, 2019, we do not separate the non-lease components (e.g., maintenance and operating services) from the lease components to which they relate. Instead, non-lease components are included in the measurement of the lease liabilities.

The Company is exposed to potential future increases in variable lease payments based on an index or rate, which are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and adjusted against the right-of-use asset.

We calculate the initial lease liability as the present value of fixed payments not yet paid and variable payments that are based on a market rate or an index (e.g CPI), measured at commencement. The majority of our leases are discounted using our incremental borrowing rate because the rate implicit in the lease is not readily determinable. All other variable payments are expensed as incurred.

Lease right-of-use assets at December 31 2023 were as follows (in millions):

	For the year ended December 31, 2023		
	Land, Land Improvements, and Buildings	Machinery, Equipment, and Other	Total
Cost			
As at 1 January 2023	£ 34	£ 50	£ 84
Additions	-	426	426
Disposals	-	(8)	(8)
As at 31 December 2023	34	468	502
Accumulated depreciation			
As at 1 January 2023	(6)	(15)	(21)
Charge for the year	(3)	(46)	(49)
Disposals	-	8	8
As at 31 December 2023	(9)	(53)	(62)
Net carrying amount	£ 25	£ 415	£ 440

The components of lease expense were as follows (in millions):

	2023	2022
Depreciation		
Land and buildings	£ 3	£ 4
Machinery, equipment, and other	46	12
Total depreciation	49	16
Other Expenses		
Interest expense	13	1
Total lease expense	£ 62	£ 17

NOTE 18. INVESTMENT PROPERTY

Changes in *Investment Property* balances on our statement of financial position were as follows (in millions):

	Land, Land Improvement, and Buildings
Cost	
Beginning balance 1 January 2023	£ 31
Disposals	-
Ending balance 31 December 2023	31
Accumulated depreciation	
Beginning balance 1 January 2023	(15)
Depreciation	-
Ending balance 31 December 2023	(15)
Net Book Value 31 December 2023	£ 16
Net Book Value 31 December 2022	£ 16

Included within freehold investment property above is £9.2m (2022: £9.2m) relating to land which is not depreciated.

NOTE 19. INVESTMENT IN SUBSIDIARIES AND ASSOCIATES

Investment in subsidiaries and associates on our statement of financial position was as follows (in millions):

	For the year ended December 31, 2023		
	Group undertakings shares	Associated undertakings	Total
Cost			
1 January 2023	£ 867	£ 11	£ 878
Additions	90	-	90
31 December 2023	957	11	968
Provisions			
1 January and 31 December 2023	-	(2)	(2)
Net Book Value 31 December 2023	£ 957	£ 9	£ 966
Net Book Value 31 December 2022	£ 867	£ 9	£ 876

Additions represent a capital contribution of £90m to Ford Halewoood Transmissions Limited.

The directors are satisfied the recoverable amount of investments exceeds their carrying amount and therefore all investments are fully recoverable. The subsidiaries have sufficient net assets to support their net book value and there are no known impairment indicators.

Subsidiaries

Organisation	Jurisdiction	Ownership %	Principle Activity
Henry Ford and Son Limited	Ireland (a)	100%	Vehicle and parts sales
Henry Ford and Son (Finance) Unlimited Company	Ireland (a)	100%	Dormant
Ford Retail Group Limited	England (b)	100%	Vehicle servicing and repair
Ford Retail Limited	England (b)	100%	Vehicle and parts sales
Standard Leasing Limited	England (b)	100%	Dormant
Ford International Liquidity Management Limited	England (c)	100%	Treasury operations
Ford Hourly Escrow Trustee Limited	England (c)	100%	Dormant
Ford Pension Fund Investment Management Limited	England (c)	100%	Dormant
Ford Pension Fund Trustees Limited	England (c)	100%	Dormant
Ford Pension Scheme for Senior Staff Trustees Limited	England (c)	100%	Dormant
Ford Halewood Transmissions Limited	England (c)	100%	The manufacture of vehicle transmissions
Ford Salaried Pension Fund Trustees Limited	England (c)	100%	Dormant
Ford Senior Staff Escrow Trustee Limited	England (c)	100%	Dormant
Wheels Common Investment Fund Trustees Limited	England (c)	100%	Dormant

Associated undertaking are the Centre for Engineering and Manufacturing Excellence (CEME), a charitable trust training college (d) and Thames Freeport Limited, a joint venture vehicle set up to support the delivery of Thames Freeport and create a new global gateway for trade (e).

Registered Offices

(a) Elm Court, Boreenmanna Road, Cork, T12 HHW2
(b) 2 Charter Court Newcomen Way, Colchester Business Park, Colchester, Essex, CO4 9YA
(c) Arterial Road, Laindon, Essex, SS15 6EE
(d) CEME Campus, Marsh Way, Rainham, Essex, RM13 8EU
(e) Leslie Ford House, Tilbury, Essex, RM18 7EH

NOTE 20. PENSION

The pension arrangements provide employees with defined benefits related to pay and service as set out in the rules of each fund. The main funds are the "Hourly Paid Contributory Pension Fund", the "Salaried Contributory Pension Fund", the "Pension Scheme for Senior Staff" and the "Existing" and "Retail" sections of the Cosworth Racing Limited Pension Fund. These are all consolidated and disclosed together as the "Funded Plans". There is an additional plan called the "Company unapproved arrangement (UURBs)" which is unfunded and disclosed separately as the "Unfunded Plans".

Contributions to the funds by the Company take into consideration the results of actuarial valuations carried out by the independent scheme actuary. The assets of the funds are invested and are held separately from those of the Company.

The valuation used for FRS 101 disclosures has been based on a full assessment of the liabilities of the funds by an independent qualified actuary using the latest full membership data at the following effective dates:

- Hourly Paid Fund: 31 March 2023
- Salaried Fund: 31 March 2023
- Senior Staff Scheme: 31 March 2023
- UURBs arrangement: consistent with the data used for the Fund in which they joined from
- Cosworth Racing Limited Pension Fund: 31 March 2021

The funds show a net surplus before deferred tax of (in millions):

	As at December 31,			
	2023		2022	
Funded Plans	£	1,589	£	2,013
Unfunded Plans		(201)		(168)
Net Pension Surplus	£	1,388	£	1,845

The Company intends to ensure its pension schemes are adequately funded over time.

NOTE 20. PENSION *(continued)*

Assumptions

The assumptions used to determine expense and benefit obligations were as follows:

	For the years ended December 31,	
	2023	**2022**
Rate of increase in salaries	3.45%	3.65%
Rate of increase to pensions in payment attracting LPI (max.5%)	2.50%	2.55%
Inflation assumption (see below) CPI	2.55%	2.65%
Inflation assumption (see below) RPI	2.95%	3.15%
Discount Rate		
- Hourly paid	4.5%	4.8%
- Salaried	4.5%	4.8%
- Senior Staff	4.5%	4.8%
- Cosworth	4.5%	4.8%
- Retail	4.5%	4.8%
Expected average age at death for a member aged 65	85.5	85.9
Expected average age at death for a member aged 45	86.4	87.0

At 31 December 2023, there were 4,519 current employee members, 37,637 retirees and 13,653 deferred members. The weighted average duration of these obligations is 13 years.

In addition to guaranteed increases, pension in payment increases are made at the Company's discretion. The cost of any future discretionary increases will be recognised at the time of the increase and the cost of funding these increases is borne wholly by the Company.

Pension Plan Contributions

The contributions agreed and paid in 2023, and those forecast to be paid in 2024 by the Company are as follows:

	Hourly Paid Fund	Salaried Fund	Senior Staff Scheme	Cosworth Section	Retail Section	Unfunded *Unregistered* Retirement Benefit Scheme
1 Jan 2023 – 31 Dec 2023	Total contributions of approx £56.2m	Total contributions of approx £98.5m	Total contributions of approx £(24.3)m	Total contributions of £3.6m	Total contributions of £2.5m	Total benefit payments of approx £5.2m
1 Jan 2024 – 31 Dec 2024	Total contributions of approx £29.1m	Total contributions of approx £54.3m	Total contributions of approx £1.8m	Total contributions of £3.6m	Total contributions of £2.5m	Total benefit payments of approx £4.2m

Contributions related to benefit augmentations would be in addition to the above amounts.

A number FCE employees who are based in the United Kingdom participate in the Salaried Contributory Pension Fund and the Pension Scheme for Senior Staff. As there is no contractual agreement or stated policy for charging the net defined benefit cost for the plan to FCE, the contributions received from FCE are recognised as a pension cost credit within operating profit and all of the assets and liabilities of the funds are recognised by the Company.

Amounts received from FCE amounted to £10.5m (2022: £11.8m) for regular pension contributions.

NOTE 20. PENSION *(continued)*

Funded Plans

Benefit Plans - Expense and Status

The net expense for our defined benefit pension for the years ended December 31, were as follows (in millions):

	For the years ended December 31,			
		2023		2023
Expense				
Current service cost	£	83	£	162
Interest (income), net		(98)		(42)
Past service cost		12		11
Curtailment / Settlement cost		-		-
Net (income)/expense	£	(3)	£	131

Investment management expenses of £16m (2022: £19m) have been paid directly by the Company and have been recognised in *other comprehensive income* as remeasurement of the liability for the net defined post-employment benefit.

The year-end status of these plans was as follows (in millions):

		2023		2022
Change in benefit obligation				
Benefit obligation at January 1	£	8,167	£	12,414
Current service cost		83		162
Interest expense		389		210
Past service cost (including separations)		12		11
Benefits paid		(470)		(489)
Loss/(gain) from remeasurement		302		(4,133)
Curtailment / Settlement Cost		-		-
Plan participant contributions (including NIARRs)		3		3
Other (UURBS transfer)		-		(11)
Benefit obligation at December 31		8,486		8,167
Change in plan assets				
Fair value of plan assets at January 1		10,186		14,974
Interest income		487		252
(Loss)/gain from remeasurement		(261)		(4,736)
Company contributions		137		182
Plan participant contributions (including NIARRs)		3		3
Benefits paid		(470)		(489)
Fair value of plan assets at December 31		10,082		10,186
Total	£	1,596	£	2,019

NOTE 20. PENSION *(continued)*

Reconciliation of funded status to Statement of Financial Position (in millions):

	As at December 31,			
	2023		2022	
Fair value of fund assets	£	10,082	£	10,186
Present value of defined benefit obligations		8,486		8,167
Surplus		1,596		2,019
Surplus not recognised		(7)		(6)
Net pension asset	£	1,589	£	2,013

The Cosworth Pension Fund has a surplus that is not recognised, on the basis that future economic benefits are not available to the entity in the form of a reduction in the future contributions or a cash refund. In accordance with the requirements of IFRIC 14, we have recognised a minimum funding commitment associated with that plan.

The return on the plan assets was (in millions):

	For the years ended December 31,			
	2023		2022	
Interest income	£	487	£	252
Remeasurements		(261)		(4,736)
Total return on plan assets	£	226	£	(4,484)

Analysis of amounts recognised in the Statement of Comprehensive Income (in millions):

	For the years ended December 31,			
	2023		2022	
Total actuarial (loss)/gain	£	(563)	£	(602)
(Surplus)/deficit not recognised		(1)		4
Total (loss)/gain in Statement of Comprehensive Income	£	(564)	£	(598)

Pension Plan Assets

The fair value of our defined benefit pension plan assets by asset category at December 31 was as follows (in millions):

	December 31, 2023			December 31, 2022		
	Quoted	Not Quoted	Total	Quoted	Not Quoted	Total
Asset Category						
Equities	£ 115	£ -	£ 115	£ 105	£ -	£ 105
Bonds	8,465	230	8,695	8,393	485	8,878
Absolute return strategies			508			638
Private equity			229			305
Real estate			200			216
Insurance contract			317			-
Other assets (including cash)			18			44
Total assets at fair value	£ 8,580	£ 230	£ 10,082	£ 8,498	£ 485	£ 10,186

NOTE 20. PENSION *(continued)*

Unfunded Plans

Benefit Plans - Expense and Status

The net expense for our defined benefit pension for the years ended December 31, were as follows (in millions):

	For the years ended December 31,	
	2023	2022
Expense		
Current service cost	£ 7	£ 11
Interest expense, net	9	4
Past service cost	2	1
Curtailment/Settlement cost	-	-
Net expense	£ 18	£ 16

The year-end status of these plans was as follows (in millions):

	2023	2022
Change in benefit obligation		
Benefit obligation at January 1	£ 168	£ 246
Current service cost	7	11
Interest expense	9	4
Loss/(gain) from remeasurement	20	(100)
Past service cost (including separations)	2	1
Benefits paid	(5)	(4)
Curtailment/Settlement cost	-	-
Other (UURBS transfer)	-	10
Benefit obligation at December 31	201	168
Change in plan assets		
Fair value of plan assets at January 1	-	-
Company contributions	5	4
Benefits paid	(5)	(4)
Fair value of plan assets at December 31	-	-
Net Pension Liability	£ (201)	£ (168)

Analysis of amounts recognised in the Statement of Comprehensive Income (in millions):

	For the years ended December 31,	
	2023	2022
Total actuarial (loss)/gain	£ (20)	£ 100
Total (loss)/gain in Statement of Comprehensive Income	£ (20)	£ 100

The Company acknowledges the High Court ruling in Virgin Media Ltd v NTL Pension Trustees II Ltd & Ors, which was upheld on appeal. This ruling has potential implications for the Company's defined benefit schemes.

The Trustees have initiated investigations, undertaken by legal counsel, to assess the potential impact. These investigations are ongoing and have not yet been concluded. At this time, the Company cannot quantify the potential financial impact, if any, of the Virgin Media judgment on the Company's defined benefit schemes.

NOTE 21. ACCOUNTS PAYABLE

Accounts payable is analysed as follows (in millions):

	As at December 31,	
	2023	2022
Trade payables	£ 597	£ 504
Amounts owed to group undertakings	1,279	729
Amounts owed to associated undertakings	428	475
Corporation tax	-	-
Taxation and social security	48	30
Total	£ 2,352	£ 1,738

Amounts owed to group and associated undertakings are unsecured, bear interest at a variable rate which is capitalised monthly and are repayable on demand.

NOTE 22. DEBT

Debt on our statement of financial position was as follows (in millions):

	As at December 31,	
	2023	2022
Due greater than one year but less than five years:		
Bank Loans	£ 1,324	£ 1,301
Total	£ 1,324	£ 1,301
Current portion	-	-
Non-current portion	1,324	1,301
Total	£ 1,324	£ 1,301

Bank loans relate to the amount drawn under a £1,375m (2022: £1,375m) loan facility from a syndicate of commercial banks with support from a £1,100m (2022: £1,100m) guarantee from UK Export Finance (UKEF).

Bank loans are unsecured and fully repayable on 30 June 2025 (£625m) and 30 June 2027 (£750m). The Company incurred transaction costs of £9.1m in 2020 and £8.3m in 2022 in obtaining the loans which are amortised over the life of the loans. The unamortised transaction costs as at 31 December 2023 are £9.0m (2022: £12.7m).

NOTE 23. DEFERRED REVENUE AND OTHER LIABILITIES

Deferred revenue and other liabilities are analysed as follows (in millions):

	As at December 31,	
	2023	2022
Amounts falling due within one year		
Finance leases	£ 56	£ 11
Other creditors	1	1
Accruals and deferred income	210	195
	267	207
Amounts falling due after more than one year		
Finance leases	334	32
Other creditors	3	-
Accruals and deferred income	168	96
	505	128
Total	£ 772	£ 334

The amounts contractually due on our lease liabilities as of December 31 were as follows (in millions):

	2023	2022
Within 1 year	£ 56	£ 11
After 1 year and within 2 years	63	7
After 2 years and within 3 years	62	4
After 3 years and within 4 years	61	3
After 4 years and within 5 years	61	3
After 5 years	87	15
Total	£ 390	£ 43

NOTE 24. PROVISIONS

Provisions on our statement of financial position were as follows (in millions):

	As at December 31,	
	2023	2022
Warranties	£ 235	£ 199
Dealer and customer claims	589	650
Other	35	26
Total	£ 859	£ 875
Current portion	713	788
Non-current portion	146	87
Total	£ 859	£ 875

NOTE 24. PROVISIONS *(continued)*

Warranties

We accrue obligations for warranty costs and field service actions (i.e., safety recalls, emission recalls, and other product campaigns) at the time of sale. We establish estimates for warranty and field service action obligations using a patterned estimation model using historical information regarding the nature, frequency, and average cost of claims for each vehicle line by model year. We re-evaluate the adequacy of our accruals on a regular basis and any revisions to our estimated obligation for warranties and field service actions are reported as *Changes in accrual related to pre-existing warranties* in the table below.

The changes in provisions for warranties were as follows (in millions):

	For the years ended December 31,	
	2023	2022
Beginning balance	£ 199	£ 193
Provisions made	136	153
Changes related to pre-existing provisions	65	(20)
Payments made	(145)	(121)
Unrealised profit adjustment	(20)	(6)
Ending balance	£ 235	£ 199
Current portion	91	113
Non-current portion	144	86
Total	£ 235	£ 199

Dealer and Customer Claims

We accrue for dealer and customer claims related to incentive programs that are approved as of the reporting date and are expected to be effective at the beginning of the subsequent period.

The changes in provisions for dealer and customer claims were as follows (in millions):

	For the years ended December 31,	
	2023	20232
Beginning balance	£ 650	£ 420
Provisions made	1,134	1,432
Payments made	(1,195)	(1,202)
Ending balance	£ 589	£ 650
Current portion	589	650
Non-current portion	-	-
Total	£ 589	£ 650

NOTE 24. PROVISIONS *(continued)*

Other

Other provisions are associated with legal and restructuring actions, employee benefits and other items.

Legal actions. Various legal actions, proceedings, and claims (generally, "matters") are pending or may be instituted or asserted against us.

The extent of our financial exposure to these matters is difficult to estimate. Many matters do not specify amount for damages, and many others specify only a jurisdictional minimum. To the extent an amount is asserted, our historical experience suggests that in most instances the amount asserted is not a reliable indicator of the ultimate outcome.

Litigation and claims are accrued when losses are deemed probable and reasonably estimable. In evaluating matters for accrual and disclosure purposes, we take into consideration factors such as our historical experience with matters of a similar nature, the specific facts and circumstances asserted, the likelihood of our prevailing, and the severity of any potential loss. We re-evaluate and update our provisions accruals as matters progress over time.

As noted, the litigation process is subject to many uncertainties, and the outcome of individual litigated matters is not predictable with assurance. Our assessments are based on our knowledge and experience, but the ultimate outcome of any matter could require payment in excess of the amount that we have accrued and/or disclosed.

The changes in other provisions were as follows (in millions):

	For the years ended December 31,	
	2023	**2022**
Beginning balance	£ 26	£ 16
Additional provisions, including changes related to pre-existing provisions	27	18
Payments made	(18)	(8)
Ending balance	£ 35	£ 26
Current portion	34	25
Non-current portion	1	1
Total	£ 35	£ 26

NOTE 25. OTHER FINANCIAL LIABILITIES

Other financial liabilities on the statement of financial position consist of our guarantees and indemnifications.

Guarantees and indemnifications are recorded at fair value at their inception. We regularly review our performance risk under these arrangements, and in the event it becomes probable we will be required to perform under guarantee or indemnity, the amount of probable payment is recorded.

We guarantee certain financial obligations of outside third parties, including suppliers, to support our business and economic growth. Expiration dates vary through 2028, and guarantees will terminate on payment and/or cancellation of the underlying obligation. A payment by us would be triggered by failure of the joint venture or other third party to fulfil its obligation covered by the guarantee. In some circumstances, we are entitled to recover from a third party amounts paid by us under the guarantee. However, our ability to enforce these rights is sometimes delayed until the guaranteed party is paid in full, and may be limited in the event of insolvency of the third party or other circumstances.

In the ordinary course of business, we execute contracts involving indemnifications standard in the industry and indemnifications specific to a transaction, such as the sale of a business. These indemnifications might include and are not limited to claims relating to any of the following: environmental, tax, and shareholder matters; intellectual property rights; power generations contracts; government regulations and employment-related matters; dealer, supplier, and other commercial contractual relationships; and other financial matters, such as securisations.

Performance under these indemnities generally would be triggered by a breach of terms of the contract or by a third-party claim. While some of these indemnifications are limited in nature, many of them do not limit potential payment. Therefore, we are unable to estimate a maximum amount of future payments that could result from claims made under these unlimited indemnities.

The carrying value of recorded liabilities related to guarantees and indemnifications were £nil and £nil at December 31, 2023 and December 31, 2022, respectively.

NOTE 26. CALLED UP SHARE CAPITAL

The number of ordinary shares outstanding at December 31 were as follows (in millions):

	As at December 31,	
	2023	2022
Authorised, allotted and fully paid		
983,118,713 (2022: 983,118,713) ordinary shares of £0.86 (2022: £0.86 each)	£ 848	£ 848

All shares rank pari passu in all respects.

NOTE 27. ACCUMULATED OTHER COMPREHENSIVE LOSS

The changes in the accumulated balances for each component of *Accumulated other comprehensive loss* attributable to Ford Motor Company Limited were as follows (in millions):

	For the years ended December 31,	
	2023	2022
Derivative instruments		
Beginning balance	£ (13)	£ (144)
Gains/(losses) on derivative instruments	(37)	45
Less: Tax (expense)/benefit	10	(11)
Net gain/(loss) on derivative instruments	(27)	34
Gains reclassified from AOCI to income	50	130
Less: Tax expense	(13)	(33)
Net gains reclassified from AOCI to net income	37	97
Other comprehensive gain/(loss), net of tax	10	131
Ending balance	£ (3)	£ (13)
Pension		
Beginning balance	£ -	£ -
(Losses)/gains arising during the year	(600)	(517)
Less: Tax benefit/(expense)	146	122
Other comprehensive (loss)/income, net of tax	(454)	(395)
Reclassification to retained earnings, net of tax	454	395
Ending balance	£ -	£ -
Total AOCI ending balance at December 31	£ (3)	£ (13)

NOTE 28. CONTINGENT LIABILITIES

The following table summarises the contingent liabilities which are not recorded on the statement of financial position (in millions):

	As at December 31,	
	2023	2022
Contingent liabilities	£ 5	£ 12

Litigation and Claims

Various legal actions, proceedings, and claims (generally, "matters") are pending or may be instituted or asserted against us. These include but are not limited to matters arising out of alleged defects in our products; product warranties; governmental regulations relating to safety, emissions, and fuel economy or other matters; government incentives; tax matters; alleged illegal acts resulting in fines or penalties; financial services; employment-related matters; dealer, supplier, and other contractual relationships; intellectual property rights; environmental matters; shareholder or investor matters; and other financial reporting matters. Certain of the pending legal actions are, or purport to be, class actions. Some of the matters involve claims of compensatory, punitive, or antitrust, or other treble damages in very large amounts, or demands for field service actions, environmental remediation programs, sanctions, loss of government incentives, assessments, or other relief, which, if granted, would require very large expenditures.

NOTE 28. CONTINGENT LIABILITIES (continued)

We accrue for matters when losses are deemed probable and reasonably estimable. In evaluation matters for accrual and disclosure purposes, we take into consideration factors such as our historical experience with matters of a similar nature, the specific facts and circumstances asserted, the likelihood that we will prevail, and the severity of any potential loss. We revaluate and update our accruals as matters of progress over time.

For the majority of matters, which generally arise out of alleged defects in our products, we establish an accrual based on our extensive historical experience in such matters. We do not believe there is a reasonably possible outcome materially in excess of our accrual for these matters.

For the remaining matters, where our historical experience with similar matters is of more limited value (i.e., "non-pattern matters"), we evaluate the matter primarily based on the individual facts and circumstances. For non-pattern matters, we evaluate whether there is a reasonable possibility of a material loss in excess of any accrual that can be estimated. Our estimate of reasonably possible loss in excess of our accruals for all material matters currently reflects indirect tax and customs matters, for which we estimate the aggregate risk to be a range of up to £4.7m (2022: £12.4m).

NOTE 29. CAPITAL AND OTHER COMMITMENTS

At 31 December, the Company had the following capital and other commitments (in millions):

	As at December 31, 2023	As at December 31, 2022
Aggregate of capital contracts approved but not provided for	£ 147	£ 172
Other purchase commitments	989	178
Total	£ 1,136	£ 350

NOTE 30. EMPLOYEES AND DIRECTORS

Employment costs were as follows (in millions):

	For the years ended December 31, 2023	For the years ended December 31, 2022
Employment costs		
Wages and salaries	£ 667	£ 614
Social security costs	94	86
Other pension costs	(5)	129
Total	£ 756	£ 829

Included above are £216m (2022: £213m) of employment costs that were recharged to the immediate holding company, Ford Technologies Limited for seconded employees.

Included above are £nil (2022: £3m) of employment costs that were recharged to Ford Smart Mobility U.K.Limited for seconded employees.

Included above are £19m (2022: £19m) of employment costs that were recharged to the immediate subsidiary company, Ford Halewood Transmissions Limited for seconded employees.

NOTE 30. EMPLOYEES AND DIRECTORS (continued)

The average monthly number of persons employed in the Company by geographical location was as follows:

	For the years ended December 31,	
	2023 Employees	2022 Employees
Location of employment		
South East	5,607	5,552
South Wales	6	12
Midlands	317	324
Total United Kingdom	5,930	5,888
Overseas	33	30
Total	5,963	5,918

Aggregate emoluments of the directors amounted to £1.3m (2022: £1.0m). As at 31 December 2023 retirement benefits are accruing under a defined benefit pension scheme to three directors (2022: three directors) and under a defined contribution pension scheme two directors (2022: two directors). During the year no directors (2022: no directors) exercised share options in the ultimate holding Company and eight directors (2022: nine directors) were eligible to receive shares in the ultimate holding Company under an annual incentive programme.

The highest paid director's emoluments were £0.3m (2022: £0.3m). The highest paid director did not exercise share options during the year. The highest paid director had an accrued annual pension at the end of the year of £0.1m (2022: £0.1m) and an accrued lump sum of £nil (2022: £nil) under a defined benefit pension scheme.

The Company guaranteed directors' loans from a group undertaking of £0.3m (2022: £0.3m) in respect of cars purchased from the Company during the year, the maximum loan liability at any date being £0.2m (2022: £0.2m). Neither the Company nor the group undertaking incurred any liability through fulfilment of these guarantees. The outstanding loan balances and associated accrued interest at the end of the year was £0.2m (2022: £0.2m).

NOTE 31. SHARE-BASED PAYMENTS

The Company's ultimate holding Company issues restricted stock units ("RSUs") to our employees, which consist of time-based and performance-based awards. RSUs provide the recipients with the right to shares of our ultimate holding Company's Share Capital following a specified performance period and/or vesting period. Time-based awards generally have a vesting feature whereby one-third of each grant of RSUs vests after the first anniversary of the grant date, one-third after the second anniversary, and one-third after the third anniversary. Performance-based RSUs vest at the end of the specified performance period, generally three years, assuming required metrics are met. Performance-based RSUs have two components: one based on the ultimate holding Company's internal financial performance metrics, and the other based on ultimate holding Company's total shareholder return relative to total shareholder returns of an industrial and automotive peer group. The ultimate holding Company issue new shares of Share Capital upon vesting of RSUs. At the time of vest, RSU awards are net settled (shares are withheld to cover the employee tax obligation).

NOTE 31. SHARE-BASED PAYMENTS *(continued)*

The fair value of both the time-based and the portion of the performance-based RSUs pertaining to internal performance metrics is determined using the closing price of our ultimate holding Company's Share Capital. The fair value of time-based RSUs is expensed over the shorter of the vesting period, using the graded vesting method, or the time period an employee becomes eligible to retain the award at retirement. The fair value of performance-based RSUs is expensed when it is probable and estimable as measured against the performance metrics over the shorter of the performance or required service periods. Expense is recorded in *Selling, administrative, and other expenses.*

Share-based compensation awards outstanding at December 31, 2023 consist of awards granted to employees under the 2008 Long-Term Incentive Plans ("LTIP"). Under the 2008 LTIP, the number of shares that may be granted in any year is limited to 2% of our ultimate holding Company's issued and outstanding Share Capital as of December 31 of the prior calendar year. Any unused portion is available for awards in later years. The limit may be increased up to 3% in any year, with a corresponding reduction in shares available for grants in future years.

The performance-based RSUs granted in March 2023 include a Relative Total Shareholder Return ("TSR" metric. We estimate the fair value of the TSR component of the performance-based RSUs using a Monte Carlo simulation. Inputs and assumptions used to calculate the fair value at grant date were as follows:

	For the year ended December 31, 2023	For the year ended December 31, 2022
Fair value per stock award	$ 18.57	$ 18.10
Grant date stock price	13.08	16.85
Assumptions:		
Ultimate holding Company stock price expected volatility (a)	49.5%	44.8%
Expected average volatility of peer companies (a)	49.6%	39.6%
Risk-free interest rate	4.57%	1.62%

(a) Expected volatility based on three years of daily closing share price changes ending on the grant date.

During 2023 the number and weighted average grant date fair market price of the share awards are as follows:

	For the years ended December 31,	
	2023	2022
Number of shares	467,900	411,628
Average fair market price of shares (US$)	$ 13.05	$ 16.82

Stock Options

During 2023, no stock options in our ultimate holding Company were issued to our employees. As of December 31, 2023, the last of our outstanding stock options in our ultimate holding Company will expire in March 2024, if not exercised sooner. We measure the fair value of our stock options in our ultimate holding Company using the Black-Scholes option-pricing model and record expense in *Selling, administrative, and other expenses.*

Out of the 75,012 outstanding options (2022: 147,324 options), 75,012 options (2022: 147,324) were exercisable. Options exercised in 2023 resulted in 46,440 shares (2022: 20,526 shares) being issued at a weighted average price of $12.75 each (2022: £12.60). The related weighted average share price at the time of exercise was $13.01 (2022: $18.48) per share.

NOTE 31. SHARE-BASED PAYMENTS *(continued)*

Details on various stock option exercise price ranges as of December 31, 2023 were as follows:

Range of Exercise prices US$	2023 Weighted Average Grant Price US$	2023 Number of Stocks	2023 Weighted Average Remaining Life Years	2022 Weighted Average Grant Price US$	2022 Number of Stocks	2022 Weighted Average Remaining Life Years
1.96-5.50	-	-	-	-	-	-
5.51-7.50	-	-	-	-	-	-
7.51-9.50	-	-	-	-	-	-
9.51-11.50	-	-	-	-	-	-
11.51-13.50	-	-	-	12.75	72,312	0.1
13.51-15.50	15.37	75,012	0.2	15.37	75,012	1.2
At 31 December	15.37	75,012	0.2	14.08	147,324	0.7

NOTE 32. EVENTS SUBSEQUENT TO THE REPORTING DATE

There were no post balance sheet events requiring disclosure in the financial statements.

NOTE 33. CONTROLLING PARTIES

The Company's immediate parent company is Ford Technologies Limited, a company registered in England and Wales. The ultimate holding company and controlling party is Ford Motor Company, a company incorporated in the State of Delaware in the USA. At 31 December 2023, the results of the Company are only consolidated into the financial statements of Ford Motor Company. Copies of the ultimate parent company's financial statements may be obtained from: Ford Motor Company, One American Road, Dearborn, Michigan 48126, USA.

NOTE 34. RELATED PARTIES TRANSACTIONS

The Company, acting as the European commercial vehicle entrepreneur to the UK and other European markets has contracted Ford Otosan, a Turkish joint venture company of which Ford Motor Company, USA, owns 41% of the issued share capital to assemble the Transit vehicles for export under contract. Under this contract, with the Company supplying the components to Ford Otosan for assembly, net purchases from Ford Otosan were £2,968m (2022: £2,808m), with a closing payable at 31 December 2023 to Ford Otosan of £425.9m (2022: £474.7m).

The Company has outsourced to Percepta UK Limited, its customer service centres. Percepta UK Limited is a UK company ultimately owned by Percepta, LLC, a US joint venture company of which Ford Motor Company, USA, owns 45% of the issued share capital. During 2023 net purchases were £23.5m (2022: £20.2m), with a closing payable at 31 December 2023 of £0.4m (2022: £3.7m).